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Investor Presentation | Japan

Autos: Stock Selection Considering the Middle East Situation

Focus on valuation appeal despite numerous headwinds (supply chain risks, higher raw material costs, slower auto demand). Individual stock ratings include OW for Suzuki, UW for Isuzu, and EW for Toyota but with a positive bias.

Automotive industry view: In-Line

- In addition to existing structural risks including 1) competition vs. China OEMs and 2) the investment burden from electrification and software, significant headwinds since developments in the Middle East are 3) lingering risk of auto production stoppages on supply-chain constraints as passage through the Strait of Hormuz has yet to be normalized, 4) higher raw material prices, and 5) a slowdown in auto sales (demand shift from ICE to HEV and EV).
- That said, share price falls have boosted the valuation appeal of individual names (Suzuki trading near historical low on P/B, Honda, SUBARU, Mazda offering dividend yields of ~5%).
- S&P Global forecasts global auto production declining 2% YoY.
- Effects of rising raw material prices: We have adjusted our earnings forecasts assuming cost growth/vehicle of ~¥80k (US\$500) for C-D segment passenger cars. Of this, we allow for increases of ~¥40k (US\$250) each for crude oil-related materials and for other materials such as steel products, aluminum, copper, precious metals and semis.
- Other key points to watch include the US midterm elections and developments around the USMCA, which is due for review in July. Under USMCA, if the required ratio of components produced in the US is raised, we would expect a negative impact on Toyota, Honda, Nissan and Mazda.

Individual stock ratings

- Overweight (OW): **Suzuki**: Slower demand due to rising gasoline prices in India is a concern, but price increases are absorbing some of the growth in raw material costs and the earnings undertone is relatively firm.
- Equal-weight (EW): **Toyota, Yamaha, Honda, Mazda, SUBARU, Mitsubishi Motors, Nissan**: We think Toyota is likely to gradually raise conservative guidance, also has prospects of increased earnings from HEVs. Our focus for Honda is on business relating to energy storage systems.
- Underweight (UW): **Isuzu**: We think the firm faces high hurdles to delivering guidance assuming delayed recovery in CVs in N. America and LCVs in Thailand.

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**AUTOS & SHARED MOBILITY**

Japan

Industry View

In-Line

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Japan Autos: Risk-Reward Snapshot

Company	Code	Rating	Price 6/4/26	Price Target	% Difference from Current Price										
					-100%	-80%	-60%	-40%	-20%	0%	20%	40%	60%	80%	100%
Suzuki	7269	OW	1,856	2,600					-8%			40%			89%
Toyota	7203	EW	2,839	3,200					-12%		13%				37%
Yamaha Motor	7272	EW	1,256	1,200				-36%		-4%					43%
Honda	7267	EW	1,505	1,600				-40%		6%					46%
Mazda	7261	EW	1,125	1,200					-20%		7%				69%
SUBARU	7270	EW	2,475	2,500				-35%		1%					54%
Mitsubishi	7211	EW	335	400					-16%		19%				73%
Nissan	7201	EW	354	400					-24%		13%				70%
Isuzu	7202	UW	2,193	1,900					-32%		-13%				28%

Note : OW = Overweight, EW = Equal-weight, UW = Underweight, Source: FactSet, Morgan Stanley Research.

Price Targets and Multiples

Ticker	Company	Rating	Price Target (yen)	Stock Price 6/4/2026	Upside to PT	Valuation for our price target
7203	Toyota	EW	3,200	2,839	13%	FY3/27e BPS x 1.0 : 30% premium to Auto industry's average A premium in light of overwhelming scale merits as well as all-round tech capability including group suppliers
7267	Honda	EW	1,600	1,505	6%	FY3/27e BPS x 0.5 : Setting P/B multiple based on the correlation with ROE in auto industry While the motorcycle business demonstrates strong profitability, automobile business remains a challenge.
7201	Nissan	EW	400	354	13%	FY3/27e BPS x 0.35 : Setting P/B multiple based on the correlation with ROE in auto industry While profitability is a challenge, we factor in the value of net cash in the automotive business.
7270	SUBARU	EW	2,500	2,475	1%	FY3/27e BPS x 0.6 : Setting P/B multiple based on the correlation with ROE in auto industry Have a presence in US, but we see risk of cost burden on electrification
7261	Mazda	EW	1,200	1,125	7%	FY3/27e BPS x 0.4 : Setting P/B multiple based on the correlation with ROE in auto industry Crossover SUV is appreciated, but we see risk on electrification and profitability
7269	Suzuki	OW	2,600	1,856	40%	FY3/27e BPS x 1.4 : Setting P/B multiple based on the correlation with ROE in auto industry Highly appreciated the growth potential and its strong presence in Indian market
7211	Mitsubishi	EW	400	335	19%	FY3/27e BPS x 0.6 : Setting P/B multiple based on the correlation with ROE in auto industry The firm has a presence in ASEAN, but we see risk of competition with Chinese OEMs
7202	Isuzu	UW	1,900	2,193	-13%	FY3/27e BPS x 0.85 : Setting P/B multiple based on the correlation with ROE It takes some time for CV volume in North America and LCVs volume in Thailand to recover
7272	Yamaha Motor	EW	1,200	1,256	-4%	FY3/27e EPS x 11 : 10% discount to the average valuation of comparable companies Considering the deterioration of the competitive environment in the outboard motor market due to US tariff effects

Note : OW = Overweight, EW = Equal-weight, UW = Underweight, e=Morgan Stanley Research estimates, Source: FactSet, Morgan Stanley Research.

Operating Profit: Our Forecasts vs Consensus

Ticker	Company	Operating profit (yen billion)						
		FY26e				FY27e		
		MSe	Con	% diff	Ce	MSe	Con	% diff
7203	Toyota	3,842.3	4,201.5	-9%	3,000.0	4,196.6	4,832.8	-13%
7267	Honda	650.7	350.2	86%	500.0	1,185.5	1,215.3	-2%
7201	Nissan	38.5	124.9	-69%	200.0	174.6	243.2	-28%
7270	SUBARU	165.6	226.7	-27%	150.0	204.0	251.1	-19%
7261	Mazda	120.4	125.2	-4%	150.0	163.2	167.9	-3%
7269	Suzuki	552.7	583.6	-5%	570.0	612.9	653.0	-6%
7211	Mitsubishi	78.0	87.1	-11%	90.0	79.1	105.9	-25%
7202	Isuzu	222.8	255.1	-13%	260.0	242.7	280.0	-13%
7272	Yamaha Motor	172.9	188.3	-8%	180.0	188.0	211.8	-11%

Con = IFIS consensus, MSe = Morgan Stanley Research estimates, Ce = Company estimates, Source: Company data, IFIS, Morgan Stanley Research

FX assumptions in earnings forecasts

FX (Yen)	FY26e				FY26e FY27e	
	Jun Q	Sep Q	Dec Q	Mar Q		
USD	155	155	155	155	155	155
EUR	180	180	180	180	180	180
INR	1.65	1.65	1.65	1.65	1.65	1.65
THB	4.8	4.8	4.8	4.8	4.8	4.8
AUD	110	110	110	110	110	110

e=Morgan Stanley Research estimates, Source: FactSet, Morgan Stanley Research

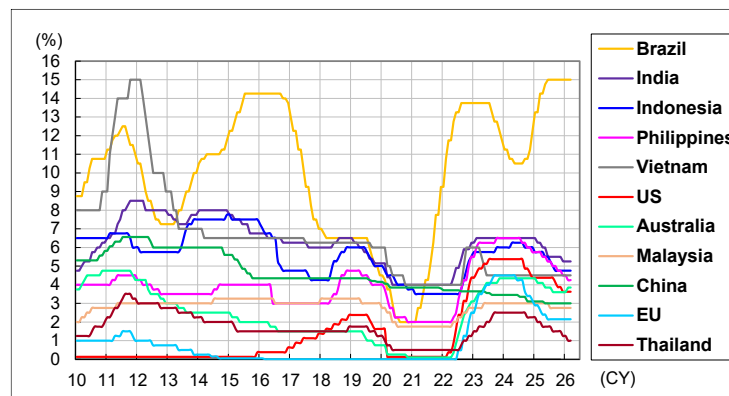
FX Sensitivity, Policy Interest Rates, Automobile Retail Sales Ratio by Region

FX sensitivity (impact on OP)

Annual impact (yen billion)	USD 1JPY	CAD 1JPY	AUD 1JPY	EURO 1JPY	THB 0.1JPY
Toyota	50.0	3.0	8.0	10.0	
Honda	11.0	-0.4	1.0	4.0	3.0
Nissan	12.0	3.0	1.5	-1.0	-5.0
SUBARU	10.0	1.5		0.2	
Mazda	2.0	3.0	2.0	2.0	-3.0
Suzuki	1.0			2.0	
Mitsubishi Motors	2.5		2.0	0.2	-9.5
Isuzu	1.0		1.0	-0.5	5.0
Yamaha Motor	1.6			0.8	

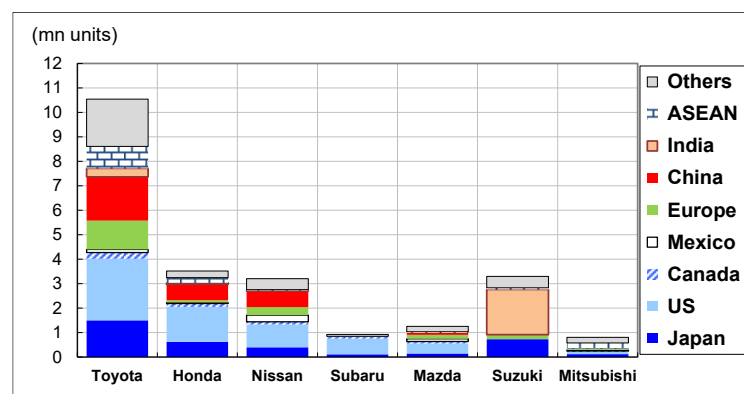
Source: Company data, Morgan Stanley Research

Policy interest rate



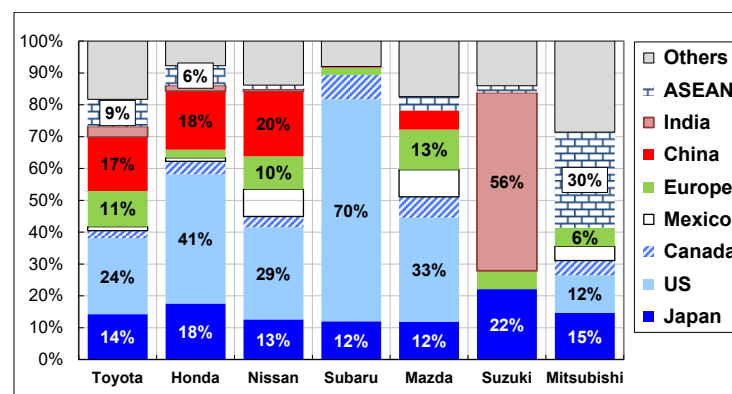
Source: Bloomberg, Morgan Stanley Research

J-OEMs: Automobile retail sales by region (CY25)



Source: Company data, Morgan Stanley Research

J-OEMs: Automobile retail sales ratio by region (CY25)



Source: Company data, Morgan Stanley Research

Stock Prices and Valuations (1)

	Currency	Stock Price		MS Rating	Price Target	Market Cap (US\$ mn)	P/E		EV/EBITDA		P/B		ROE		Divi Yield		Hist. Beta
		2026/06/04	26YTD				25	26e	25	26e	25	26e	25	26e	25	26e	
Japan (Industry view : In-Line)																	
Toyota Motor	JPY	2,839	-15%	EW	3,200	281	10	10	11.2	10.5	1.0	0.9	10%	9%	3.0%	3.5%	1.3
Honda Motor	JPY	1,505	-2%	EW	1,600	41	-14	9	15.0	8.5	0.4	0.5	-4%	5%	5.6%	4.7%	1.1
Nissan Motor	JPY	354	-9%	EW	400	8	-2	-77	12.0	16.8	0.2	0.3	-11%	0%	0.0%	0.0%	1.2
SUBARU	JPY	2,475	-27%	EW	2,500	11	20	11	3.7	2.7	0.6	0.6	3%	6%	4.7%	4.8%	1.2
Mazda Motor	JPY	1,125	-8%	EW	1,200	4	20	7	1.5	0.9	0.3	0.4	2%	6%	5.3%	4.9%	1.3
Suzuki Motor	JPY	1,856	-20%	OW	2,600	23	8	10	5.0	5.1	1.1	1.0	14%	10%	2.5%	2.7%	1.1
Mitsubishi Motors	JPY	335	-10%	EW	400	3	45	11	2.6	3.1	0.4	0.5	1%	4%	3.3%	3.0%	1.1
Isuzu Motors	JPY	2,193	-10%	UW	1,900	9	11	10	6.9	7.2	1.0	1.0	9%	10%	4.1%	4.3%	1.1
Yamaha Motor	JPY	1,256	8%	EW	1,200	8	76	12	8.5	7.2	1.0	1.0	1%	9%	3.0%	4.0%	1.1
Average							19	0	7.4	6.9	0.7	0.7	3%	7%	3.5%	3.5%	1.2
North America (Industry view : In-Line)																	
Ford Motor	USD	15	17%	EW	14	60	14	10	14.7	12.8	1.5	1.7	-32%	17%	5.7%	3.9%	1.0
General Motors	USD	83	2%	OW	100	75	8	6	3.4	2.9	1.3	1.1	17%	20%	NA	NA	1.0
Tesla	USD	418	-7%	EW	415	1,572	251	226	107.3	100.2	19.4	16.6	5%	3%	NA	NA	1.5
Ferrari	EUR	302	-5%	EW	330	68	34	32	20.9	18.4	14.5	13.6	43%	43%	1.1%	1.3%	1.0
Average							77	68	36.6	33.6	9.2	8.2	8%	21%	3.4%	2.6%	1.1
Europe (Industry view : In-Line)																	
Mercedes-Benz	EUR	49	-18%	OW	65	55	9	8	2.2	1.6	0.6	0.5	6%	6%	5.8%	6.2%	1.1
BMW	EUR	70	-25%	OW	96	50	6	7	2.5	2.0	0.6	0.4	8%	6%	4.7%	5.2%	1.2
Volkswagen	EUR	90	-14%	EW	100	52	7	5	0.7	0.4	0.3	0.2	4%	5%	9%	7%	n.a
Stellantis	USD	6	-32%	EW	8	22	n.a	n.a	7.0	3.7	0.5	0.4	-33%	-3%	0.0%	0.0%	1.4
Renault	EUR	27	-23%	UW	29	9	n.a	4	NM	0.7	0.5	0.3	-43%	8%	6.2%	6%	1.1
Porsche	EUR	48	6%	UW	42	26	101	29	7.6	7.1	1.8	1.9	2%	7%	5.1%	2.1%	1.1
Average							31	11	4.0	2.6	0.7	0.6	-9%	5%	5.1%	4.4%	1.2

Note: Historical beta is the average 2-year historical adjusted beta. Note: Ford Motor, GM, and Tesla are covered by Andrew Percoco, Ferrari is covered by Edouard Aubin, Mercedes, BMW, Volkswagen, Porsche, Stellantis and Renault are covered by Javier Martinez de Olcoz Cerdan, Hyundai Motor and Kia are covered by Young Suk Shin, Great Wall Motor, Geely Automobile, BYD, Li Auto, NIO, Xpeng are covered by Tim Hsiao, SAIC Motor and Chongqing Changan Automobile are covered by Joey Xu, Maruti Suzuki, Tata Motors, Mahindra & Mahindra and Hyundai Motor India are covered by Binay Singh, e = Morgan Stanley Research estimates. Source: FactSet, Morgan Stanley

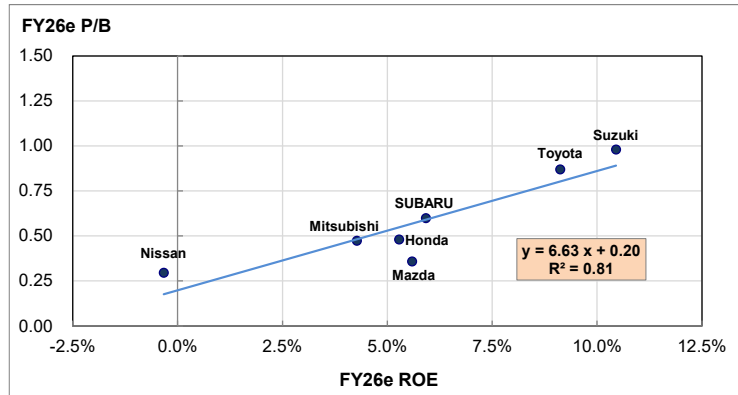
Stock Prices and Valuations (2)

	Currency	Stock Price		MS Rating	Price Target	Market Cap (US\$ mn)	P/E		EV/EBITDA		P/B		ROE		Divi Yield		Hist. Beta
		2026/06/04	26YTD				25	26e	25	26e	25	26e	25	26e	25	26e	
South Korea (Industry view : In-Line)																	
Hyundai Motor	KRW	700,000	136%	OW	700,000	103	15	12	14.7	17.4	0.7	1.5	8%	10%	0.0%	1.7%	1.2
Kia	KRW	164,300	35%	OW	210,000	41	8	8	2.4	3.6	0.8	0.9	13%	13%	5.4%	4.1%	0.9
Average							12	10	8.5	10.5	0.7	1.2	11%	11%	2.7%	2.9%	1.1
China (Industry view : In-Line)																	
Great Wall Motor	HKD	10	-32%	EW	12	18	9	9	9.0	4.3	1.5	0.9	12%	11%	2.4%	3.6%	1.0
SAIC Motor	CNY	12	-22%	OW	23	20	13	8	6.7	2.9	0.6	0.4	4%	6%	1.8%	3.7%	0.8
Geely Automobile	HKD	19	4%	OW	28	26	11	8	3.5	2.4	1.8	1.4	19%	22%	1.9%	2.6%	1.0
BYD	CNY	92	-4%	OW	120	90	25	22	7.2	6.0	3.6	3.2	15%	15%	1.6%	2.0%	1.0
Li Auto	USD	15	-14%	OW	22	13	51	60	NM	NM	1.6	1.3	2%	1%	0.0%	0.0%	1.2
NIO	USD	6	12%	OW	7	13	n.a	n.a	NM	61.7	9.5	12.6	-142%	-42%	0.0%	0.0%	1.1
Xpeng	USD	17	-17%	OW	25	13	n.a	n.a	585.5	NM	4.4	4.0	-4%	-13%	0.0%	0.0%	1.2
Average							22	21	122.4	15.4	3.3	3.4	-13%	0%	1.1%	1.7%	1.0
India (Industry view : Attractive)																	
Maruti Suzuki	INR	13,058	-22%	OW	17,895	43	26	23	16.9	14.7	3.8	3.7	15%	16%	1.2%	1.2%	1.0
Tata Motors	INR	400	9%	EW	367	15	59	12	3.4	6.4	1.3	1.0	2%	10%	0.0%	0.0%	1.3
Mahindra & Mahindra	INR	3,015	-19%	OW	4,222	39	22	22	18.0	16.1	5.4	5.0	24%	21%	1.1%	1.2%	1.5
Hyundai Motor India	INR	1,933	-	OW	2,131	16	29	31	14.6	15.7	8.5	7.2	30%	23%	1.2%	1.0%	0.9
Average							34	22	13.2	13.2	4.8	4.2	18%	18%	0.9%	0.9%	1.2

Note: Historical beta is the average 2-year historical adjusted beta. Note: Ford Motor, GM, and Tesla are covered by Andrew Percoco, Ferrari is covered by Edouard Aubin, Mercedes, BMW, Volkswagen, Porsche, Stellantis and Renault are covered by Javier Martinez de Olcoz Cerdan, Hyundai Motor and Kia are covered by Young Suk Shin, Great Wall Motor, Geely Automobile, BYD, Li Auto, NIO, Xpeng are covered by Tim Hsiao, SAIC Motor is covered by Joey Xu, Maruti Suzuki, Tata Motors, Mahindra & Mahindra and Hyundai Motor India are covered by Binay Singh, e = Morgan Stanley Research estimates. Source: FactSet, Morgan Stanley

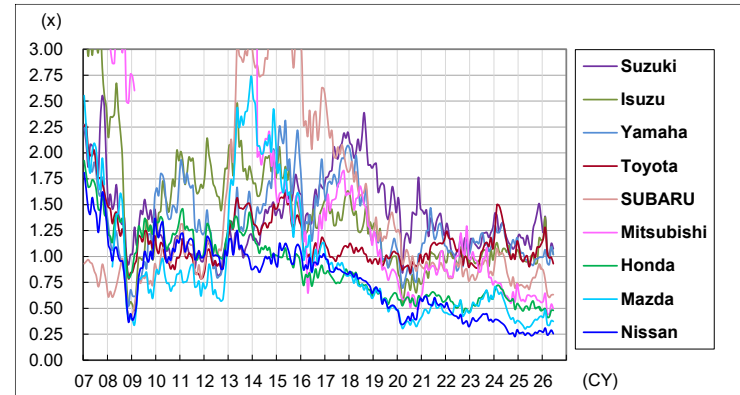
Stock Prices and Valuations (3)

P/B and ROE



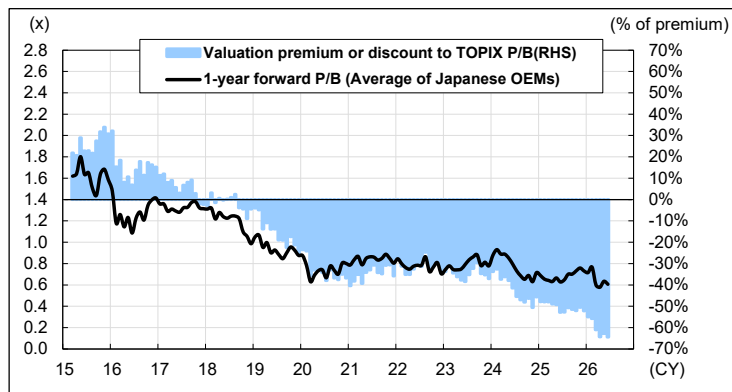
e = Morgan Stanley Research estimates.
Source: FactSet, Morgan Stanley Research

1-year forward P/B



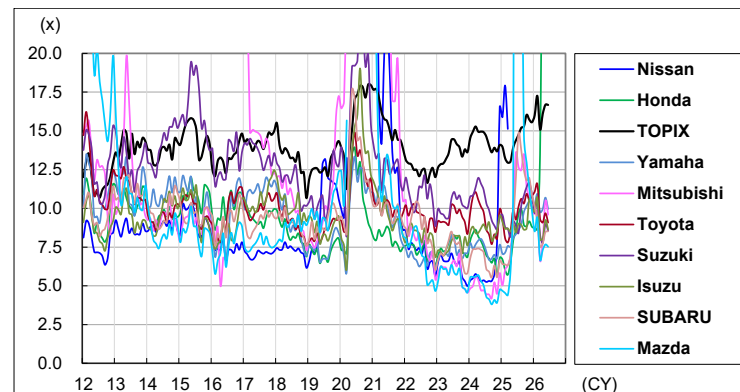
Forward P/B is based on FactSet estimates.
Source: FactSet, Morgan Stanley Research

1-year forward P/B vs. TOPIX



Forward P/E is based on FactSet estimates.
Source: FactSet, Morgan Stanley Research

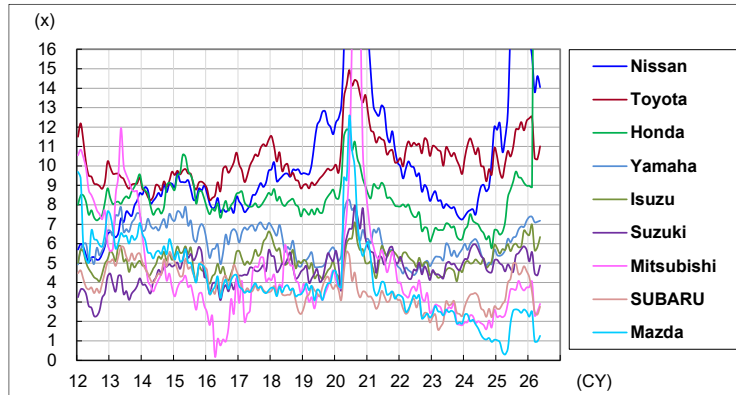
1-year forward P/E



Forward P/E is based on FactSet estimates.
Source: FactSet, Morgan Stanley Research

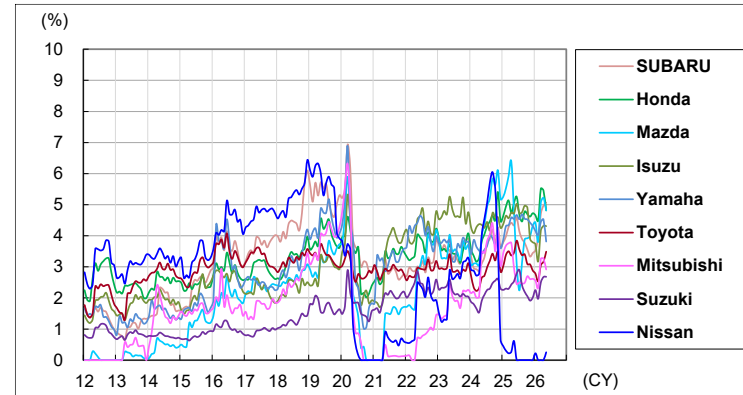
Stock Prices and Valuations (4)

1-year forward EV/EBITDA



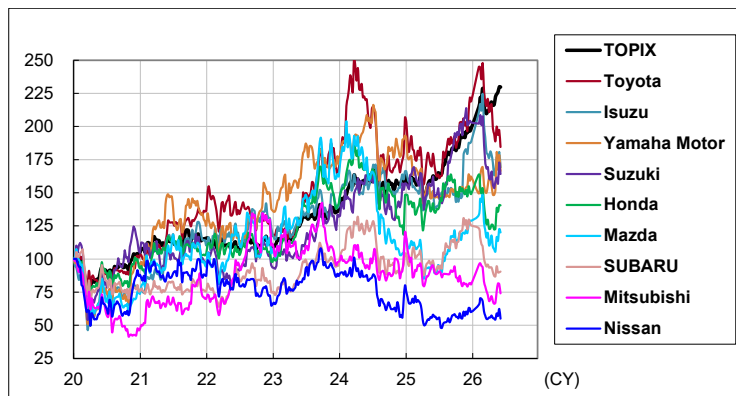
Forward EV/EBITDA is based on FactSet estimates.
Source: FactSet, Morgan Stanley Research

Dividend yield



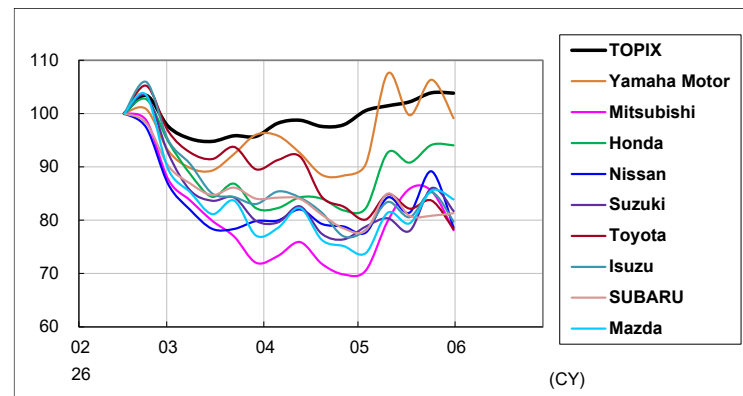
Forward Dividend yield is based on FactSet estimates.
Source: FactSet, Morgan Stanley Research

Stock performance (YE of 2019 = 100)



Source: FactSet, Morgan Stanley Research

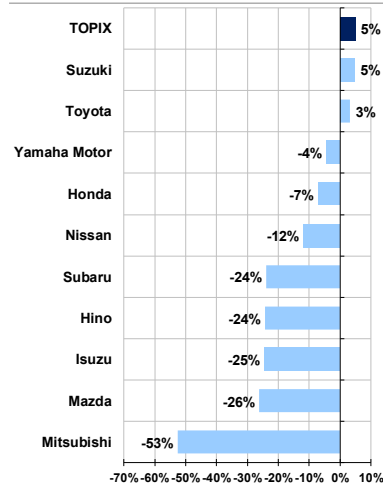
Stock performance (Feb 20th, 2026 = 100)



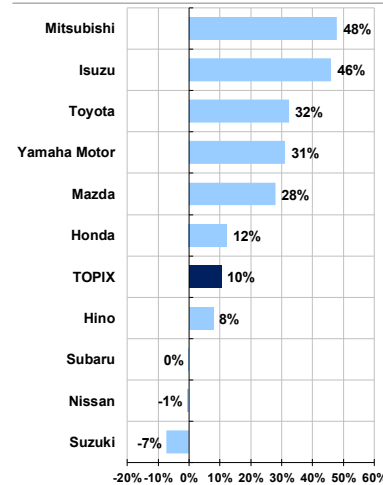
Source: FactSet, Morgan Stanley Research

Stock Prices and Valuations (5)

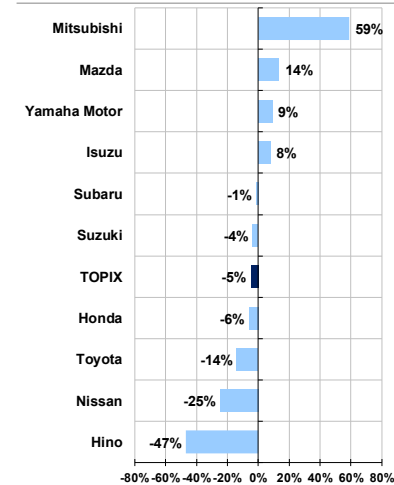
2020 Stock Price Performance



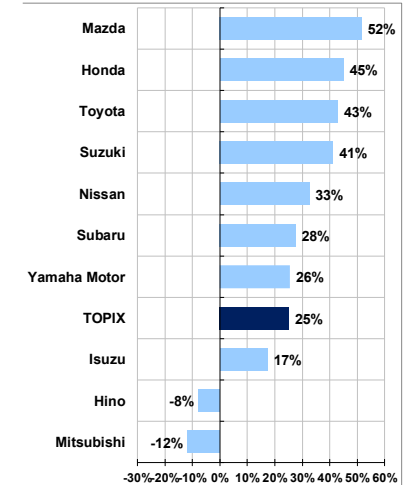
2021 Stock Price Performance



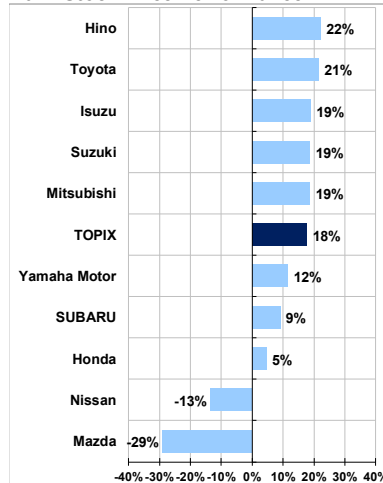
2022 Stock Price Performance



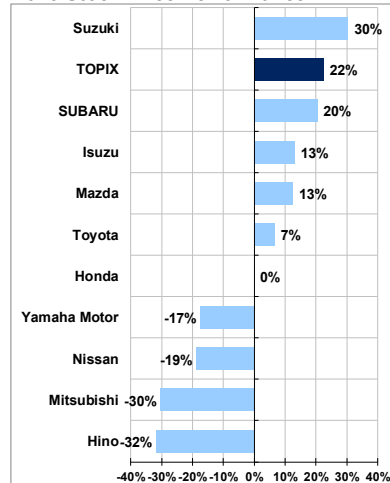
2023 Stock Price Performance



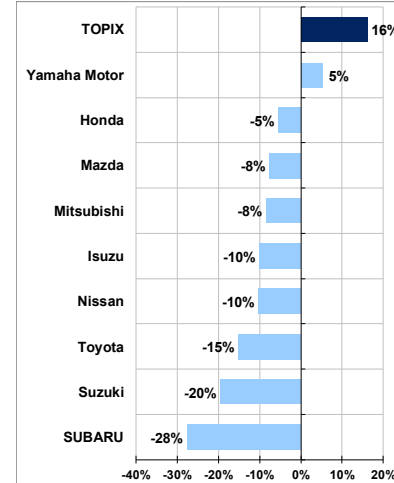
2024 Stock Price Performance



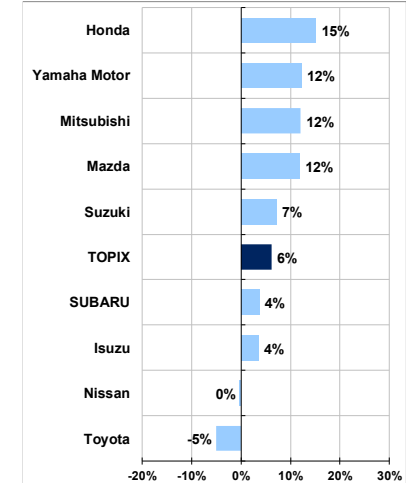
2025 Stock Price Performance



2026 YTD Stock Price Performance



Last one month



Note: Closing prices as of Jun 4th, 2026, Source: FactSet, Morgan Stanley Research.

Global Automobile Production and Sales Volume (1)

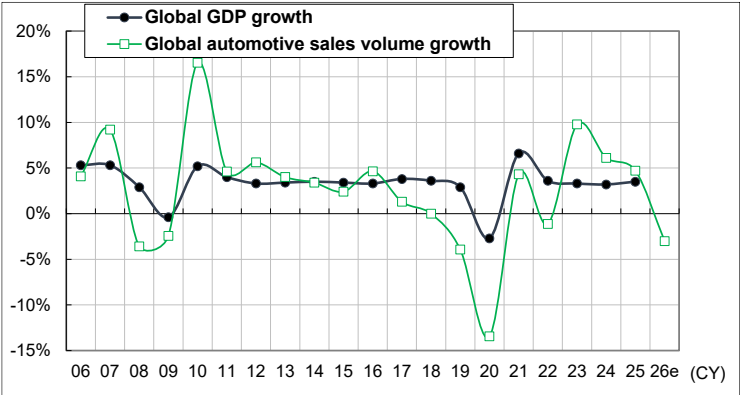
Global Light Vehicle Annual Production Growth YoY (%)

YoY Growth	18	19	20	21	22	23	24	25	26e	27e	28e	29e	30e
Region													
Total Europe	-1%	-4%	-22%	-4%	0%	14%	-4%	-1%	-2%	0%	1%	1%	1%
Western Europe	-4%	-6%	-25%	-6%	5%	13%	-8%	-2%	-4%	-3%	-1%	1%	3%
Eastern Europe	4%	0%	-16%	-1%	-8%	14%	2%	1%	0%	4%	4%	2%	-2%
Total Asia	-1%	-6%	-11%	6%	8%	9%	0%	7%	-2%	0%	1%	2%	2%
Greater China	-4%	-8%	-4%	5%	6%	10%	4%	10%	-3%	1%	0%	2%	1%
China	-4%	-8%	-4%	5%	6%	10%	4%	10%	-3%	0%	0%	2%	1%
Japan/Korea	0%	-1%	-15%	-3%	2%	15%	-6%	1%	-3%	-3%	-1%	0%	-2%
South Asia	6%	-8%	-27%	27%	22%	2%	-2%	5%	3%	4%	9%	5%	5%
India	6%	-11%	-23%	28%	23%	7%	4%	8%	5%	3%	8%	3%	6%
North America	-1%	-4%	-20%	0%	10%	10%	-1%	-1%	-2%	0%	1%	4%	2%
United States	1%	-4%	-19%	3%	10%	6%	-2%	-1%	-2%	-1%	3%	6%	4%
South America	4%	-5%	-31%	16%	8%	3%	2%	3%	2%	6%	5%	7%	5%
Middle East/Africa	-2%	-21%	-11%	15%	9%	3%	2%	3%	-22%	15%	13%	4%	-3%
Global	-1%	-6%	-16%	3%	7%	10%	-1%	4%	-2%	1%	2%	3%	2%

e = S&P Global estimates, Source: S&P Global, Morgan Stanley Research

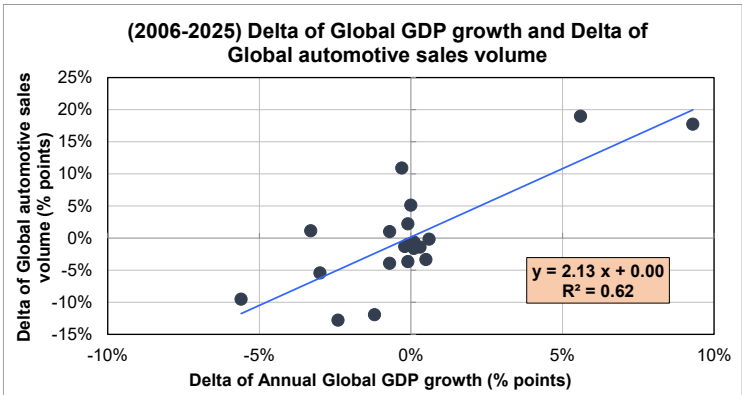
Global Automobile Production and Sales Volume (2)

Global auto sales and GDP growth rate



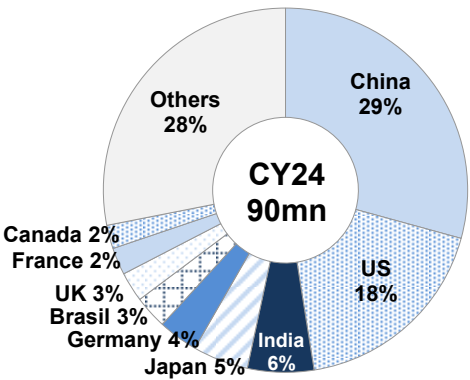
e = Morgan Stanley Research estimates, Source: MarkLines, Morgan Stanley Research

Correlation between global auto sales and GDP growth rate



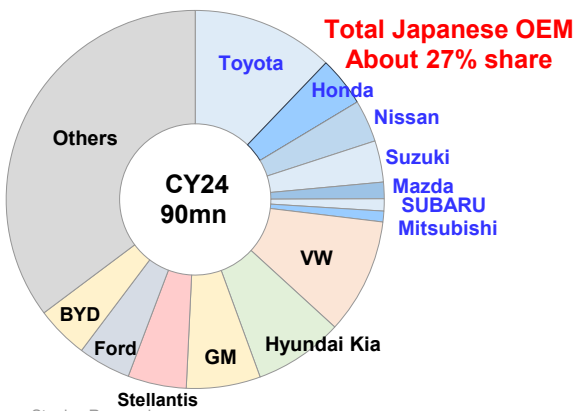
Source: MarkLines, Morgan Stanley Research

Global automobile sales volume share by country



Source: FOURIN, Morgan Stanley Research

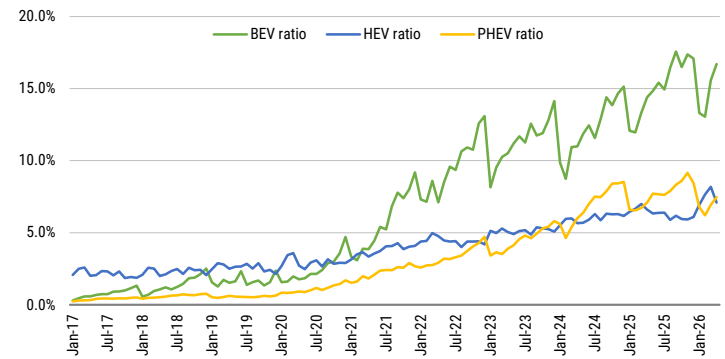
Global automobile sales volume share by company



Source: FOURIN, Morgan Stanley Research

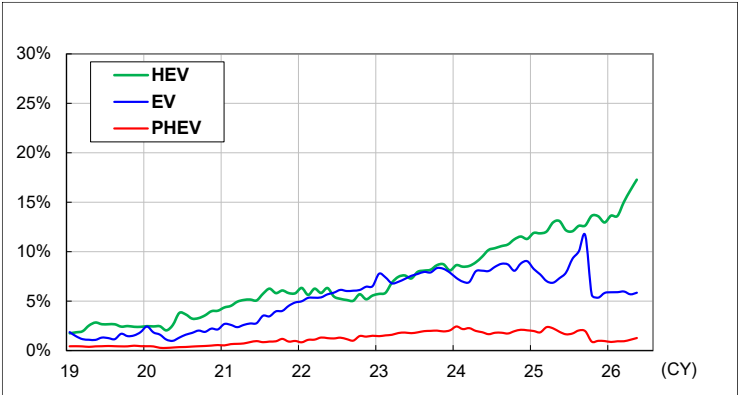
xEV Sales Ratio (1)

Global



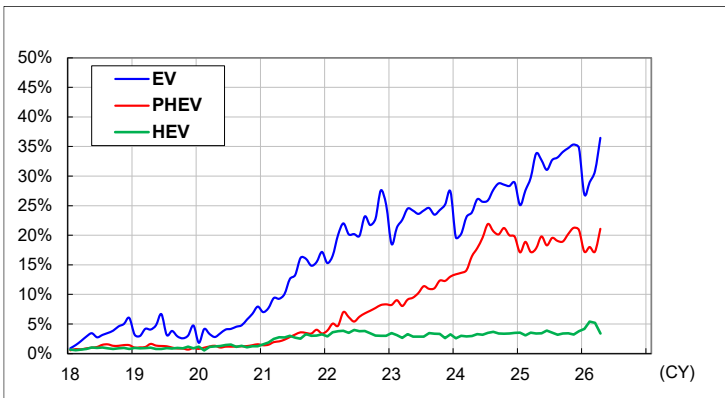
Source: MarkLines, Morgan Stanley Research

US



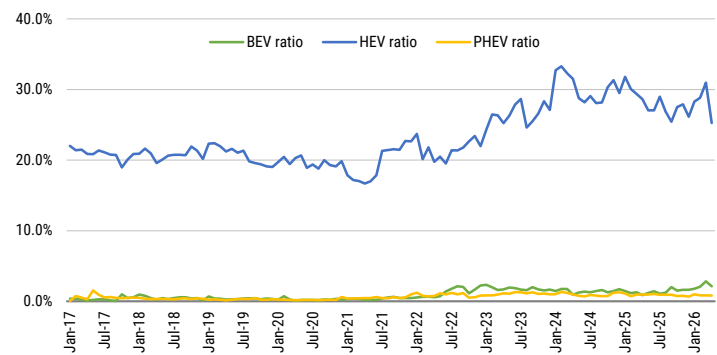
Source: Motor Intelligence, Morgan Stanley Research

China



Source: CAAM, Morgan Stanley Research

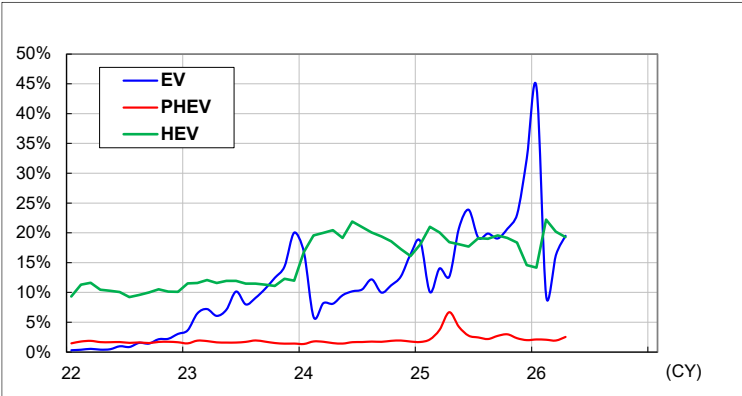
Japan



Source: MarkLines, Morgan Stanley Research

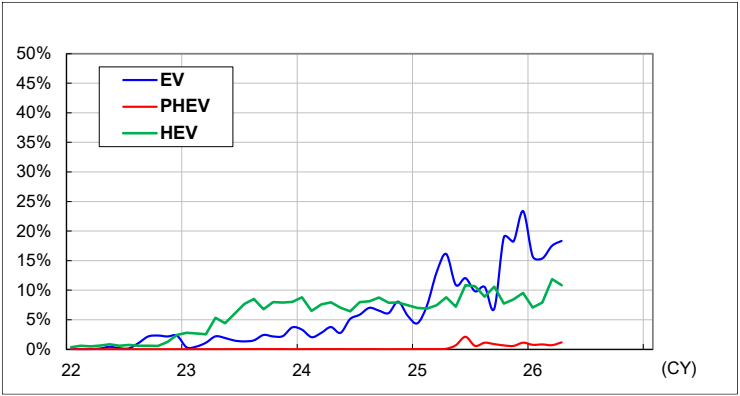
xEV Sales Ratio (2)

Thailand



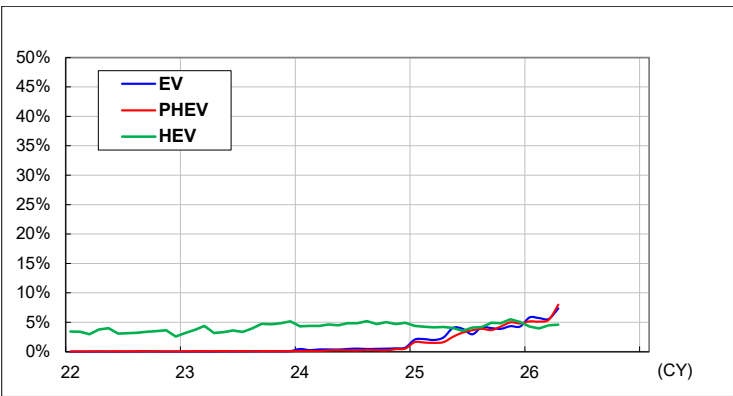
Source: MarkLines, Morgan Stanley Research

Indonesia



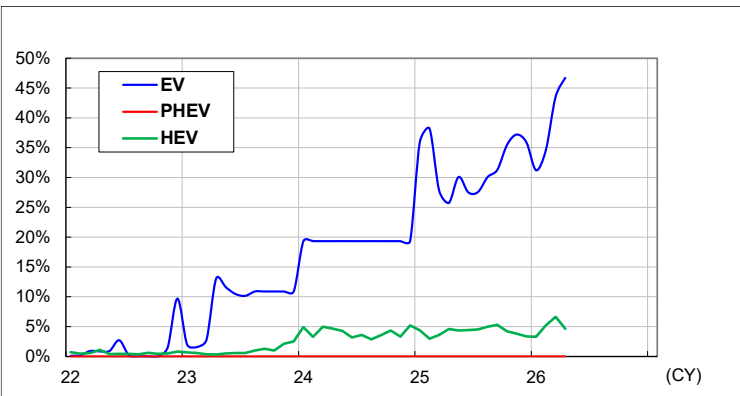
Source: MarkLines, Morgan Stanley Research

Philippines



Source: MarkLines, Morgan Stanley Research

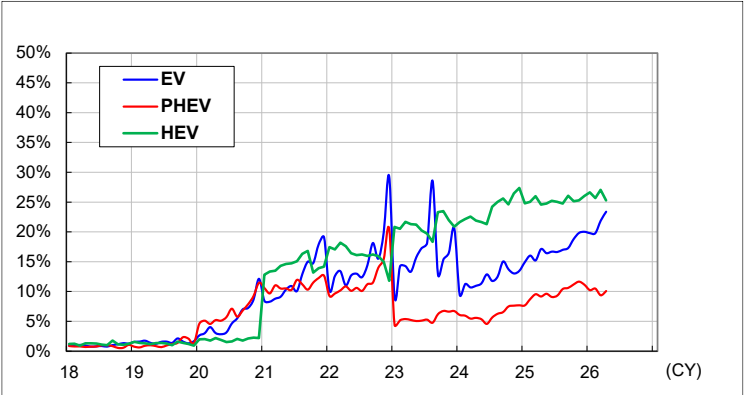
Vietnam



Source: MarkLines, Morgan Stanley Research

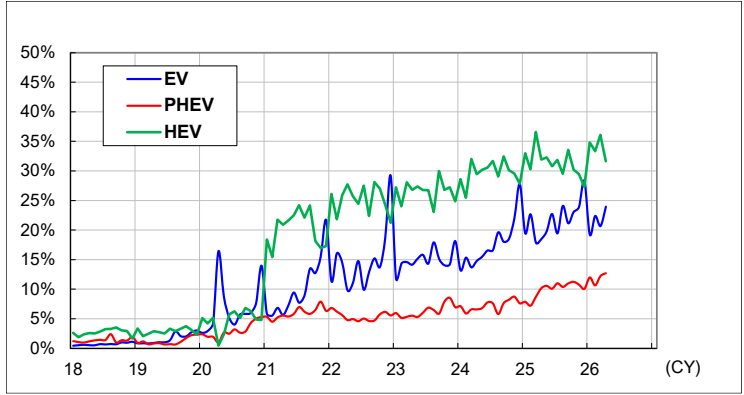
xEV Sales Ratio (3)

Germany



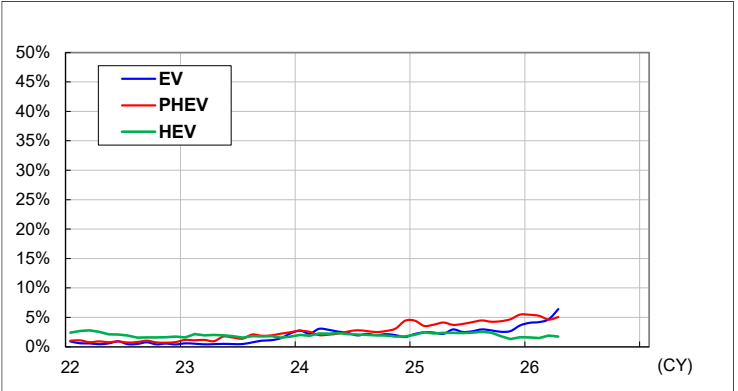
Source: MarkLines, Morgan Stanley Research

UK



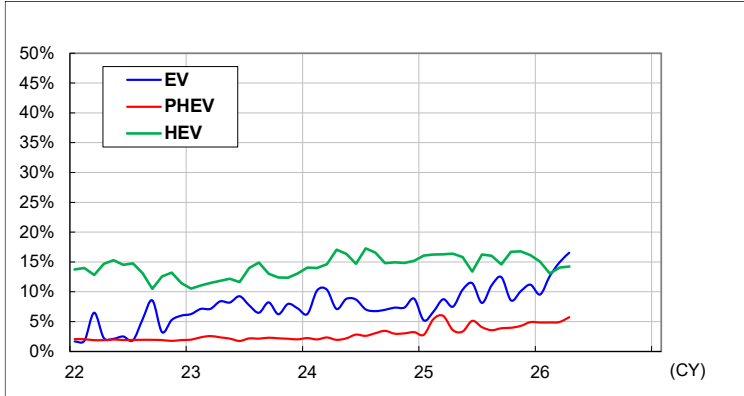
Source: MarkLines, Morgan Stanley Research

Brazil



Source: MarkLines, Morgan Stanley Research

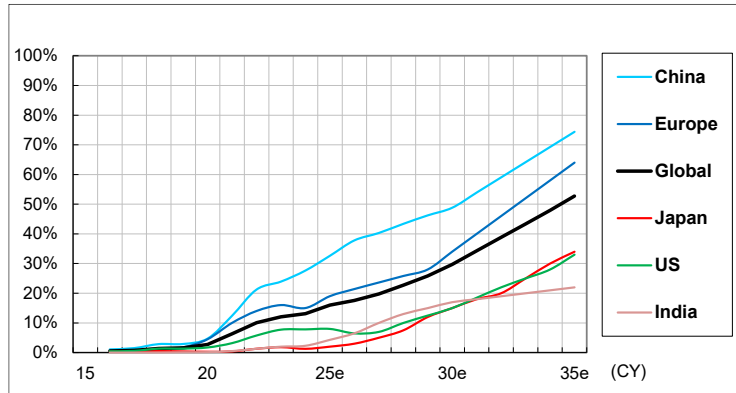
Australia



Source: MarkLines, Morgan Stanley Research

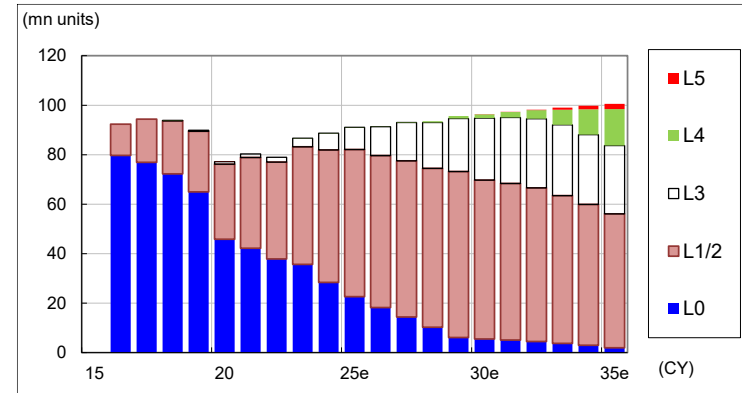
xEV Sales Ratio and Auto Sales by Level of Autonomy

EV ratio of auto sales by country



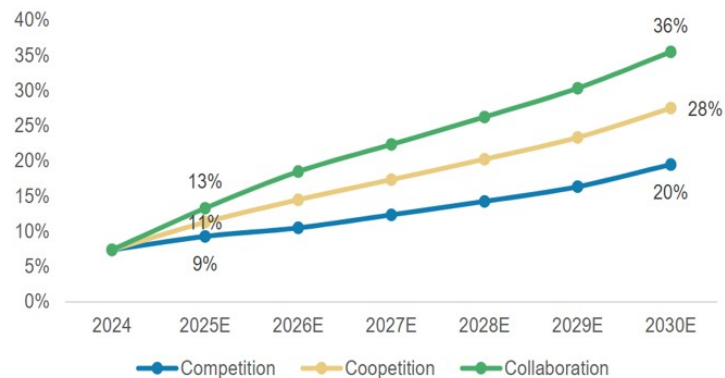
e = Morgan Stanley Research estimates, Source: CAAM, ACEA, MarkLines, Motor Intelligence, Vahan, Morgan Stanley Research

Global auto sales by level of autonomy



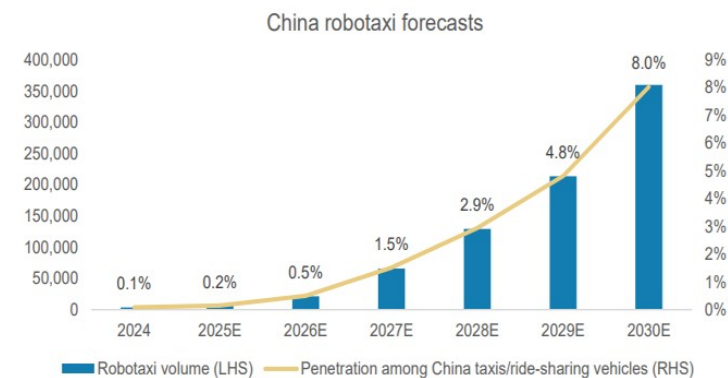
Morgan Stanley Research estimates based on automobile industry associations from various countries, e = Morgan Stanley Research estimates, Source: Morgan Stanley Research

Global: Level 2+ vehicle adoption rate



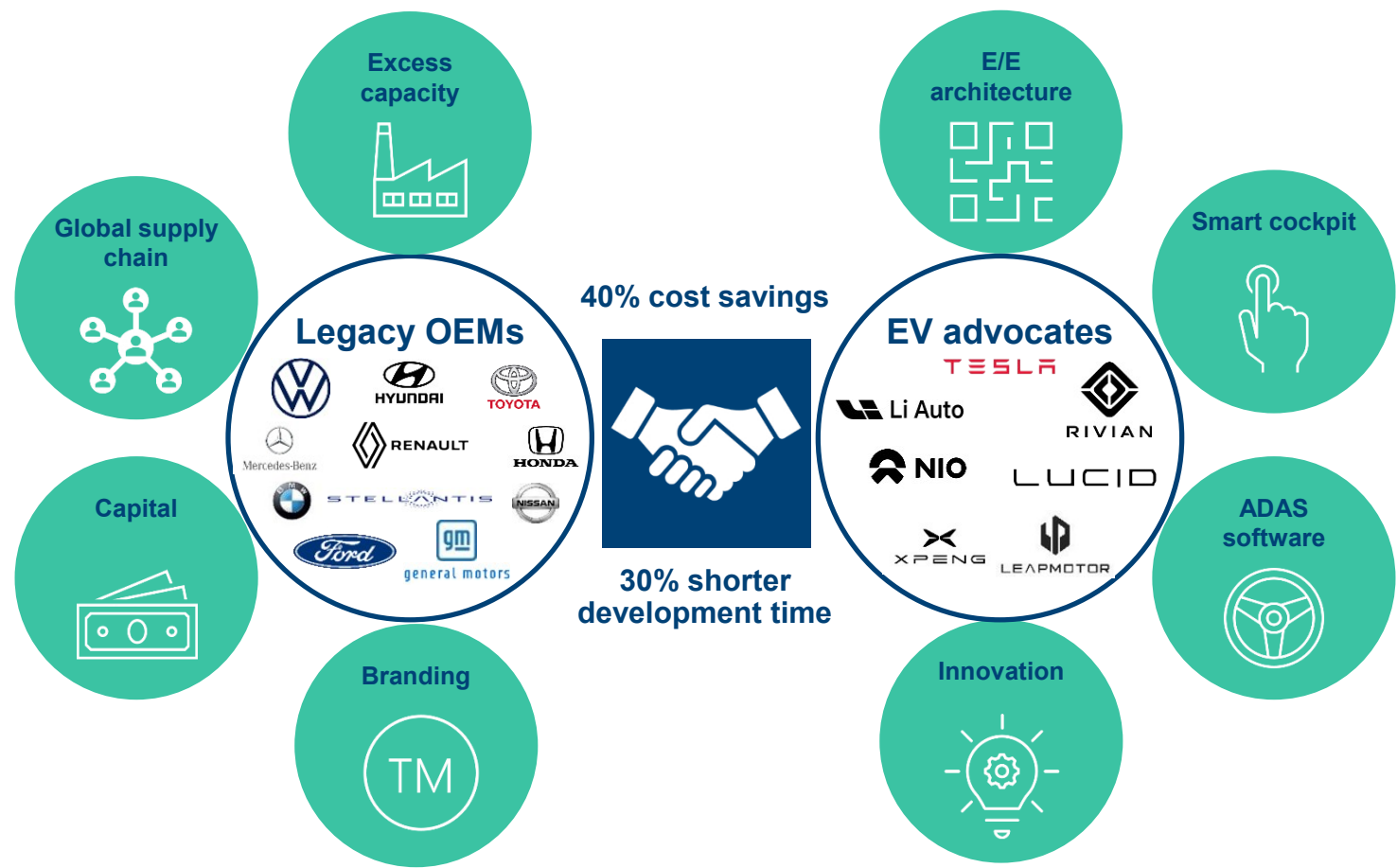
Morgan Stanley Research estimates, E = Morgan Stanley Research estimates, Source: Morgan Stanley Research

China: Autonomous driving penetration rate



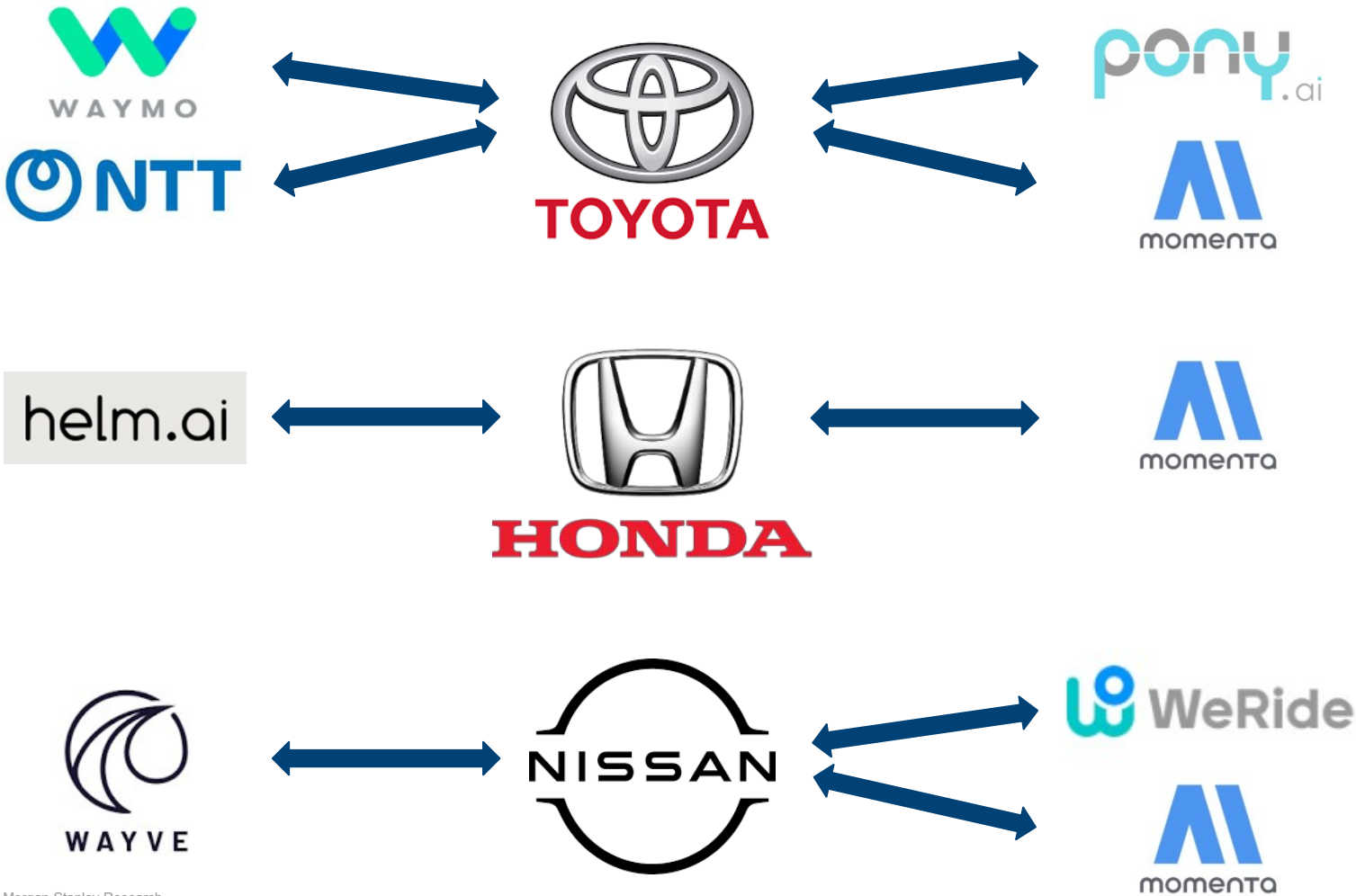
Morgan Stanley Research estimates, E = Morgan Stanley Research estimates, Source: Morgan Stanley Research

Collaboration Between Companies is Gaining Momentum



Source: Morgan Stanley Research

Collaborations in Autonomous Driving (AD) / Advanced Driver Assistance Systems (ADAS)



Source: Morgan Stanley Research

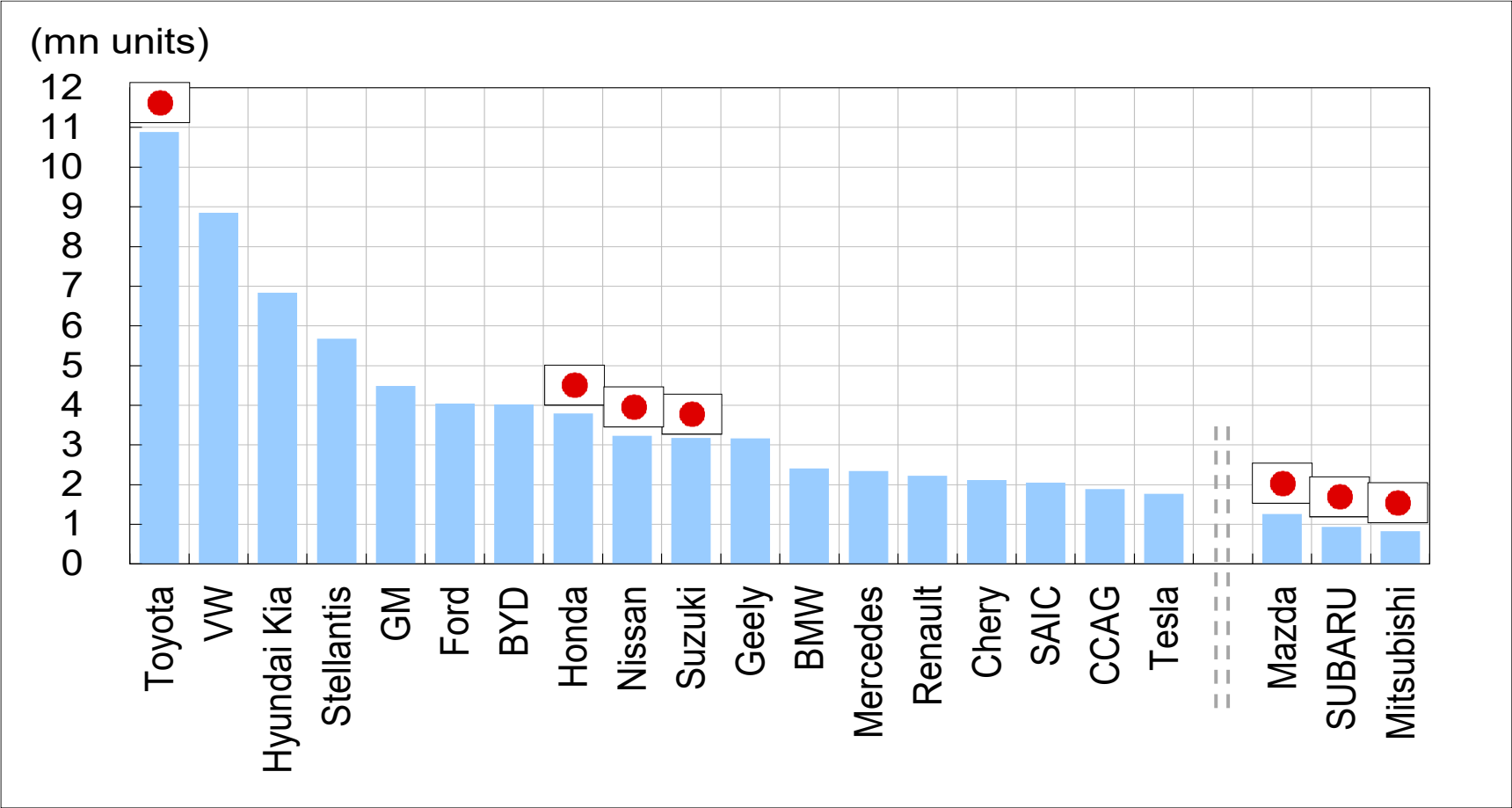
Accelerating Offshore Expansion by Chinese OEMs



Source: Company data, Morgan Stanley Research

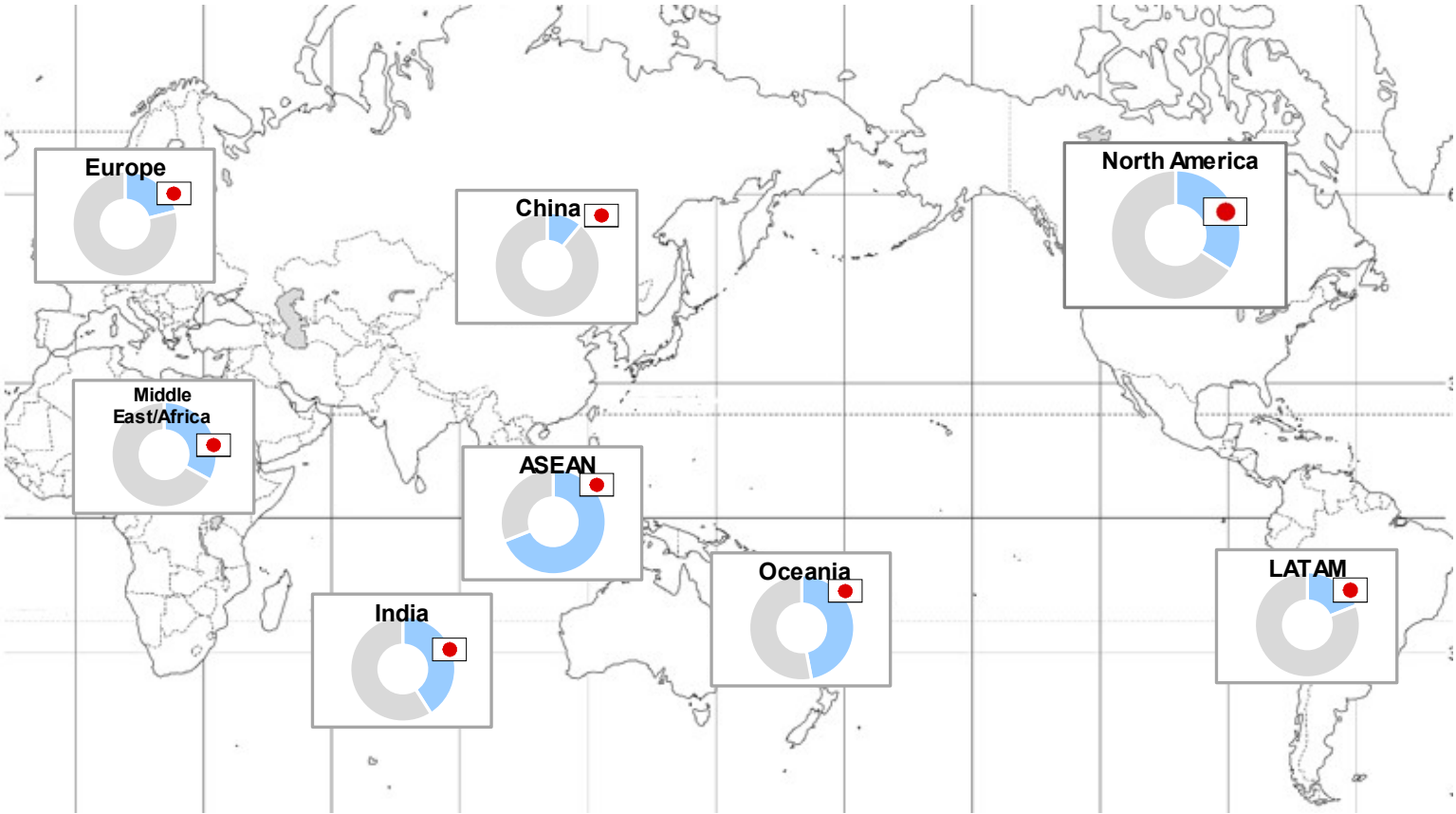
OEM	Location	Launch	Planned Capacity (k units)
BYD	Thailand	2024	150
	Brazil	2024	150
	Uzbekistan	2024	50
	Hungary	2025	150
	Indonesia	2026	150
	Turkey	2026	150
	Cambodia	2026	20
BYD total			810
GWM	Russia	2019	150
	Thailand	2021	80-120
	Brazil	2024	100
GWM total			350
Geely	Egypt	2012	30
	Belarus	2017	60
	Malaysia	2017	250
Geely total			340
SAIC	Indonesia	2017	150
	India	2019	80
	Pakistan	2021	100
	Vietnam	2023	60
	Thailand	2023	50
SAIC total			440
Chery	Brazil	2014	150
	Indonesia	2023	200
	Malaysia	2024	30
	Argentina	2025	100
	Thailand	2025	80
Chery total			560
GAC	Thailand	2024	50
	Indonesia	2024	100
GAC total			150
Chang'an	Thailand	2025	200
Chang'an total			200

Company Ranking by Sales Volume in the Global Automotive Market (CY24)



Source: FOURIN, Morgan Stanley Research

Market Share for Japanese OEMs by Region in 2024



Source: MarkLines, Morgan Stanley Research

OP Impact of Rising Raw Material Prices: How did companies factor this into their guidance?

- We believe it is appropriate to compare the impact of cost increases across companies on a per-unit basis by aggregating both Middle East-related factors (e.g., petroleum-based resins) and non-Middle East-related factors (e.g., copper, aluminum, semiconductors, supplier payments).
- Based on a comparison of total cost increases per unit, **Toyota, Honda, and SUBARU appear to be using relatively conservative assumptions.**
- Suzuki has not incorporated Middle East-related impacts into its guidance. However, the figures presented as outside the guidance can be viewed as somewhat conservative.

F3/27 Company estimate (yen bn)							
Ticker	Company	Cost increases due to the Middle East conflict (A)		Cost increases excl. the Middle East conflict (B)		Total cost (A)+(B)	Cost increases per unit (yen)
			Cost increases per unit (yen)		Cost increases per unit (yen)		
7203	Toyota	▲ 400.0	▲ 41,667	▲ 790.0	▲ 82,292	▲ 1,190.0	▲ 123,958
7267	Honda	▲ 110.0	▲ 39,007	▲ 275.0	▲ 97,518	▲ 385.0	▲ 136,525
7201	Nissan	▲ 15.0	▲ 6,160	▲ 130.0	▲ 53,388	▲ 145.0	▲ 59,548
7270	SUBARU	▲ 20.0	▲ 21,277	▲ 110.0	▲ 117,021	▲ 130.0	▲ 138,298
7261	Mazda	▲ 20.0	▲ 16,221	▲ 61.7	▲ 50,041	▲ 81.7	▲ 66,261
7269	Suzuki	▲ 100.0	▲ 27,996	▲ 130.0	▲ 36,394	▲ 230.0	▲ 64,390
7211	Mitsubishi	▲ 15.0	▲ 14,822	▲ 49.3	▲ 48,715	▲ 64.3	▲ 63,538
7202	Isuzu	▲ 20.0	▲ 34,247	▲ 40.0	▲ 68,493	▲ 60.0	▲ 102,740
Total		▲ 700.0	▲ 31,537	▲ 1,586.0	▲ 71,454	▲ 2,286.0	▲ 102,992

Note: Estimates by Morgan Stanley Research based on company materials. (A) primarily reflects cost increases related to crude oil, while (B) includes increases in non-oil material cost and various other cost. For Honda, only cost for automobile segment is shown. For Suzuki, although not reflected in company guidance, estimates disclosed outside the guidance are shown. Source: Company data, Morgan Stanley Research

Raw Materials / Commodity Prices (1): Cost of key materials per vehicle

(USD / vehicle)	ICE	HEV	PHEV	EV
Selling price	22,000 ~ 30,000	25,000 ~ 35,000	30,000 ~ 40,000	33,000 ~ 45,000
Cost of Good Sold	17,250 ~ 23,500	20,000 ~ 28,500	25,500 ~ 33,500	28,000 ~ 40,000
Material cost	12,500 ~ 18,500	15,500 ~ 23,000	20,000 ~ 28,500	21,000 ~ 32,500
Subtotal of Key material cost	6,914 ~ 9,830	8,128 ~ 12,650	12,159 ~ 21,970	14,709 ~ 23,537
Steel materials	2,574 ~ 2,975	2,508 ~ 2,905	2,409 ~ 2,800	2,310 ~ 2,730
Material Cost	858 ~ 1,105	836 ~ 1,079	803 ~ 1,040	770 ~ 1,014
Processing / Conversion cost	1,716 ~ 1,870	1,672 ~ 1,826	1,606 ~ 1,760	1,540 ~ 1,716
Aluminum	800 ~ 1,080	900 ~ 1,200	1,100 ~ 1,500	1,400 ~ 1,860
Material Cost	432 ~ 594	486 ~ 660	594 ~ 825	756 ~ 1,023
Processing / Conversion cost	368 ~ 486	414 ~ 540	506 ~ 675	644 ~ 837
Copper	260 ~ 375	455 ~ 675	715 ~ 975	975 ~ 1,275
Material Cost	180 ~ 275	315 ~ 495	495 ~ 715	675 ~ 935
Processing / Conversion cost	80 ~ 100	140 ~ 180	220 ~ 260	300 ~ 340
Plastics / Resins	1,870 ~ 2,600	1,980 ~ 2,730	2,090 ~ 2,860	2,200 ~ 2,990
Material Cost	595 ~ 800	630 ~ 840	665 ~ 880	700 ~ 920
Processing / Conversion cost	1,275 ~ 1,800	1,350 ~ 1,890	1,425 ~ 1,980	1,500 ~ 2,070
Rubber (Tires)	90 ~ 180	105 ~ 200	120 ~ 220	149 ~ 264
Material Cost	30 ~ 56	35 ~ 63	40 ~ 69	45 ~ 75
Processing / Conversion cost	60 ~ 124	70 ~ 138	80 ~ 151	104 ~ 189
Rubber (Excluding Tires)	360 ~ 550	360 ~ 550	405 ~ 605	405 ~ 605
Material Cost	144 ~ 220	144 ~ 220	162 ~ 242	162 ~ 242
Processing / Conversion cost	216 ~ 330	216 ~ 330	243 ~ 363	243 ~ 363
Precious Metal	440 ~ 1,320	500 ~ 1,540	600 ~ 1,760	-
Material Cost (Platinum)	135 ~ 350	158 ~ 425	180 ~ 500	
Material Cost (Palladium)	70 ~ 280	88 ~ 340	105 ~ 400	
Material Cost (Rhodium)	150 ~ 600	180 ~ 675	225 ~ 750	
Processing / Conversion cost	85 ~ 90	75 ~ 100	90 ~ 110	
Glass	520 ~ 750	520 ~ 750	520 ~ 750	520 ~ 750
Battery	-	800 ~ 2,100	4,200 ~ 10,500	6,750 ~ 13,063

Note: Assumptions are based on a C-D segment passenger vehicle. Source: Morgan Stanley Research

Raw Materials / Commodity Prices (2): Cost composition of key materials per vehicle

% of Selling price	ICE		HEV		PHEV		EV	
Selling price	100%	~ 100%	100%	~ 100%	100%	~ 100%	100%	~ 100%
Cost of Good Sold	78%	~ 78%	80%	~ 81%	85%	~ 84%	85%	~ 89%
Material cost	57%	~ 62%	62%	~ 66%	67%	~ 71%	64%	~ 72%
Subtotal of Key material cost	31%	~ 33%	33%	~ 36%	41%	~ 55%	45%	~ 52%
Steel materials	12%	~ 10%	10%	~ 8%	8%	~ 7%	7%	~ 6%
Material Cost	4%	~ 4%	3%	~ 3%	3%	~ 3%	2%	~ 2%
Processing / Conversion cost	8%	~ 6%	7%	~ 5%	5%	~ 4%	5%	~ 4%
Aluminum	4%	~ 4%	4%	~ 3%	4%	~ 4%	4%	~ 4%
Material Cost	2%	~ 2%	2%	~ 2%	2%	~ 2%	2%	~ 2%
Processing / Conversion cost	2%	~ 2%	2%	~ 2%	2%	~ 2%	2%	~ 2%
Copper	1%	~ 1%	2%	~ 2%	2%	~ 2%	3%	~ 3%
Material Cost	1%	~ 1%	1%	~ 1%	2%	~ 2%	2%	~ 2%
Processing / Conversion cost	0%	~ 0%	1%	~ 1%	1%	~ 1%	1%	~ 1%
Plastics / Resins	9%	~ 9%	8%	~ 8%	7%	~ 7%	7%	~ 7%
Material Cost	3%	~ 3%	3%	~ 2%	2%	~ 2%	2%	~ 2%
Processing / Conversion cost	6%	~ 6%	5%	~ 5%	5%	~ 5%	5%	~ 5%
Rubber (Tires)	0%	~ 1%	0%	~ 1%	0%	~ 1%	0%	~ 1%
Material Cost	0%	~ 0%	0%	~ 0%	0%	~ 0%	0%	~ 0%
Processing / Conversion cost	0%	~ 0%	0%	~ 0%	0%	~ 0%	0%	~ 0%
Rubber (Excluding Tires)	2%	~ 2%	1%	~ 2%	1%	~ 2%	1%	~ 1%
Material Cost	1%	~ 1%	1%	~ 1%	1%	~ 1%	0%	~ 1%
Processing / Conversion cost	1%	~ 1%	1%	~ 1%	1%	~ 1%	1%	~ 1%
Precious Metal	2%	~ 4%	2%	~ 4%	2%	~ 4%	0%	~ 0%
Material Cost (Platinum)	1%	~ 1%	1%	~ 1%	1%	~ 1%		
Material Cost (Palladium)	0%	~ 1%	0%	~ 1%	0%	~ 1%		
Material Cost (Rhodium)	1%	~ 2%	1%	~ 2%	1%	~ 2%		
Processing / Conversion cost	0%	~ 0%	0%	~ 0%	0%	~ 0%		
Glass	2%	~ 3%	2%	~ 2%	2%	~ 2%	2%	~ 2%
Battery			3%	~ 6%	14%	~ 26%	20%	~ 29%

Note: Assumptions are based on a C-D segment passenger vehicle. Source: Morgan Stanley Research

Raw Materials / Commodity Prices (3): Weight per vehicle breakdown

(kg)	ICE	HEV	PHEV	EV
Total Weight per vehicle	1,300 ~ 1,500	1,400 ~ 1,600	1,600 ~ 1,800	1,700 ~ 2,200
Steel materials	780 ~ 850	760 ~ 830	730 ~ 800	700 ~ 780
Aluminum	160 ~ 180	180 ~ 200	220 ~ 250	280 ~ 310
Copper	20 ~ 25	35 ~ 45	55 ~ 65	75 ~ 85
Plastics / Resins	170 ~ 200	180 ~ 210	190 ~ 220	200 ~ 230
Rubber (Tires)	15 ~ 23	18 ~ 25	20 ~ 28	23 ~ 30
Rubber (Excluding Tires)	40 ~ 50	40 ~ 50	45 ~ 55	45 ~ 55
Precious Metal (Platinum)	0.003 ~ 0.007	0.004 ~ 0.009	0.004 ~ 0.010	-
Precious Metal (Palladium)	0.002 ~ 0.007	0.003 ~ 0.009	0.003 ~ 0.010	-
Precious Metal (Rhodium)	0.001 ~ 0.004	0.001 ~ 0.005	0.002 ~ 0.005	-
Glass	40 ~ 50	40 ~ 50	40 ~ 50	40 ~ 50
Battery	-	20 ~ 35	70 ~ 150	300 ~ 475
Battery(kwh)		1 ~ 4	10 ~ 20	50 ~ 80

% of Total Weight	ICE	HEV	PHEV	EV
Total Weight per vehicle	100% ~ 100%	100% ~ 100%	100% ~ 100%	100% ~ 100%
Steel materials	60% ~ 57%	54% ~ 52%	46% ~ 44%	41% ~ 35%
Aluminum	12% ~ 12%	13% ~ 13%	14% ~ 14%	16% ~ 14%
Copper	2% ~ 2%	3% ~ 3%	3% ~ 4%	4% ~ 4%
Plastics / Resins	13% ~ 13%	13% ~ 13%	12% ~ 12%	12% ~ 10%
Rubber (Tires)	1% ~ 2%	1% ~ 2%	1% ~ 2%	1% ~ 1%
Rubber (Excluding Tires)	3% ~ 3%	3% ~ 3%	3% ~ 3%	3% ~ 3%
Precious Metal (Platinum)	0% ~ 0%	0% ~ 0%	0% ~ 0%	-
Precious Metal (Palladium)	0% ~ 0%	0% ~ 0%	0% ~ 0%	-
Precious Metal (Rhodium)	0% ~ 0%	0% ~ 0%	0% ~ 0%	-
Glass	3% ~ 3%	3% ~ 3%	3% ~ 3%	2% ~ 2%
Battery	-	1% ~ 2%	4% ~ 8%	18% ~ 22%

Note: Assumptions are based on a C-D segment passenger vehicle. Source: Morgan Stanley Research

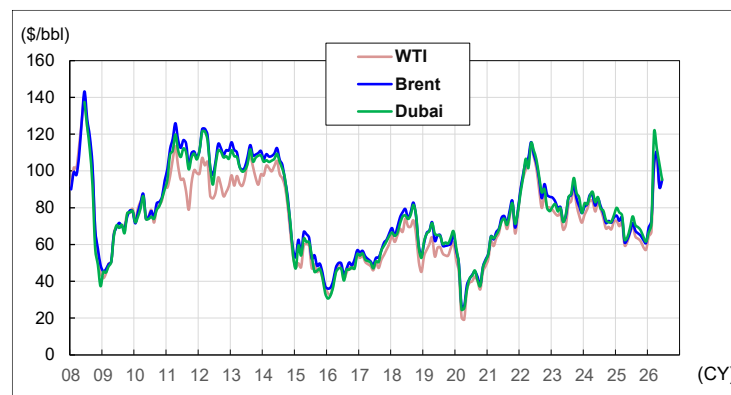
Raw Materials / Commodity Prices (4)

List of key commodity prices

	(unit)	Date		1 month	3 month	6 month	12 month	vs. pre-Iran conflict
		2/27/26	6/4/26					
Brent	\$/bbl	73	95	-17%	17%	52%	47%	30%
Dubai	\$/bbl	71	95	-10%	10%	50%	47%	34%
Natural gas	\$/MMBtu	2.9	3.3	16%	14%	-33%	-10%	17%
Steel	\$/st	1,017	1,125	4%	11%	24%	29%	11%
Copper	\$/ton	13,440	13,872	8%	7%	21%	43%	3%
Aluminum	\$/st	3,158	3,739	4%	11%	31%	51%	18%
Natural rubber	\$/kg	246	295	7%	22%	43%	37%	20%
Synthetic rubber	RMB/ton	12,452	14,545	-9%	18%	45%	23%	17%
Butadiene	\$/ton	1,290	1,600	-11%	24%	98%	40%	24%
Naphtha	\$/bbl	69	83	-30%	-4%	38%	37%	21%
Platinum	\$/t.oz	2,366	1,894	-3%	-12%	14%	74%	-20%
Palladium	\$/t.oz	1,792	1,319	-11%	-21%	-11%	32%	-26%
Rhodium	\$/t.oz	11,850	8,200	-18%	-28%	3%	51%	-31%
Lithium	\$/ton	21,425	26,075	2%	10%	102%	208%	22%
Cobalt	\$/ton	55,875	55,860	0%	0%	13%	68%	0%
Nickel	\$/ton	17,685	18,375	-4%	6%	25%	20%	4%

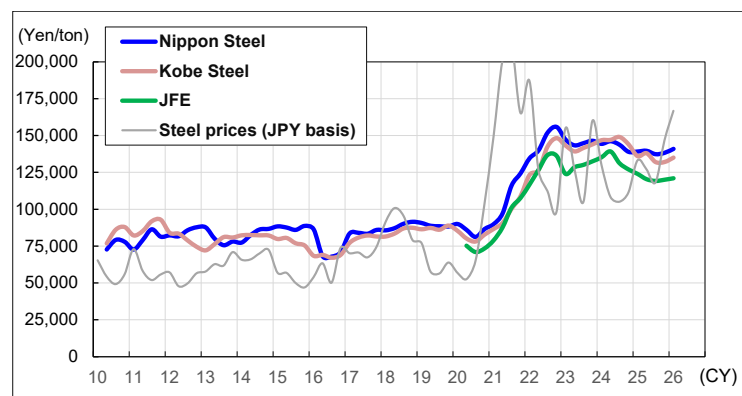
Source: FactSet, Morgan Stanley Research

Crude oil prices



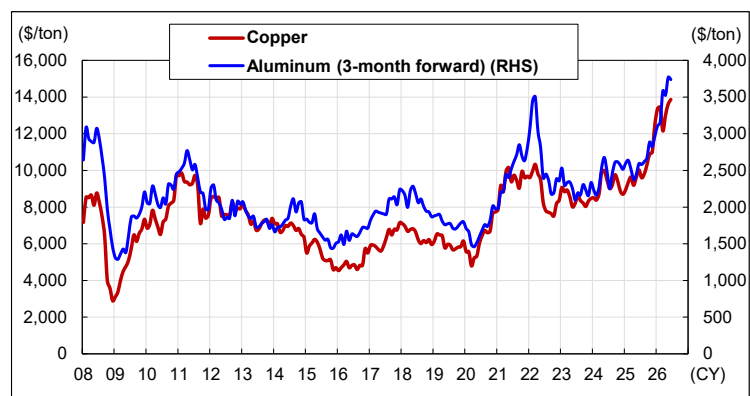
Source: FactSet, Morgan Stanley Research

Steel sales prices (firm disclosed) and steel prices (market)



Source: FactSet, Morgan Stanley Research

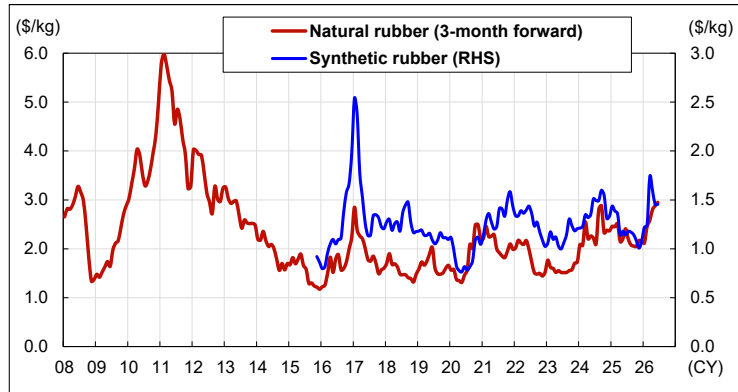
Copper, aluminum prices



Source: FactSet, Morgan Stanley Research

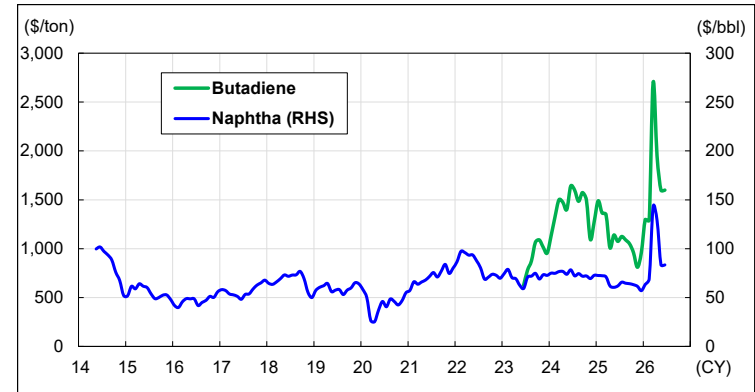
Raw Materials / Commodity Prices (5)

Natural rubber, synthetic rubber prices



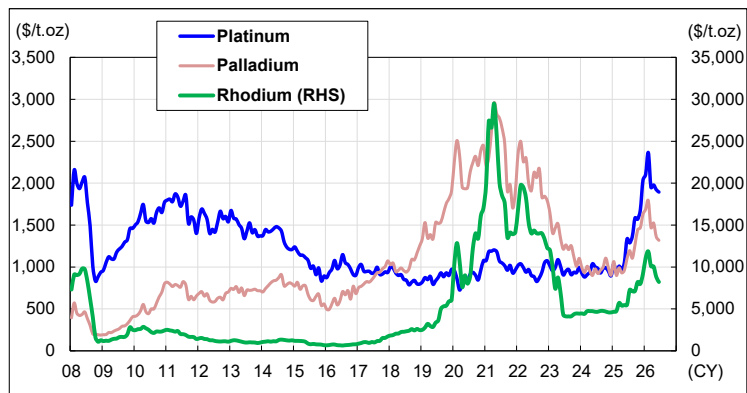
Source: FactSet, Morgan Stanley Research

Butadiene, naphtha prices



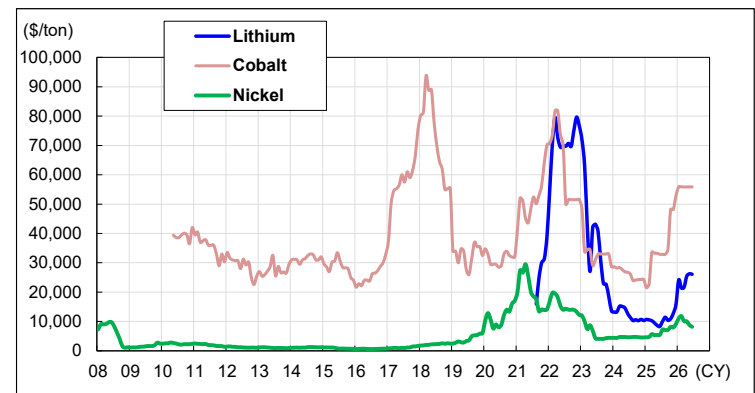
Source: FactSet, Morgan Stanley Research

Platinum, palladium, rhodium prices



Source: FactSet, Morgan Stanley Research

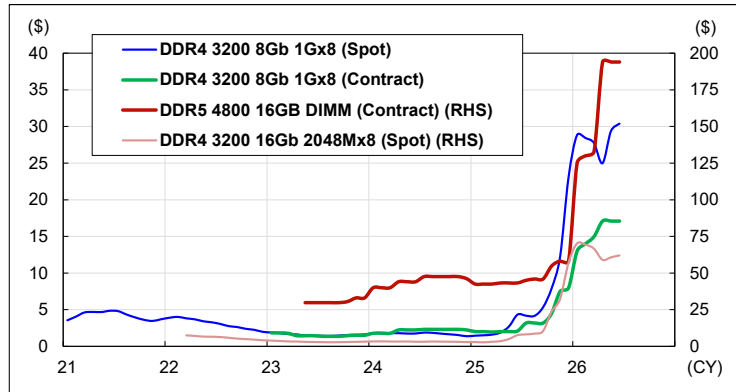
Lithium, cobalt, nickel prices



Source: FactSet, Morgan Stanley Research

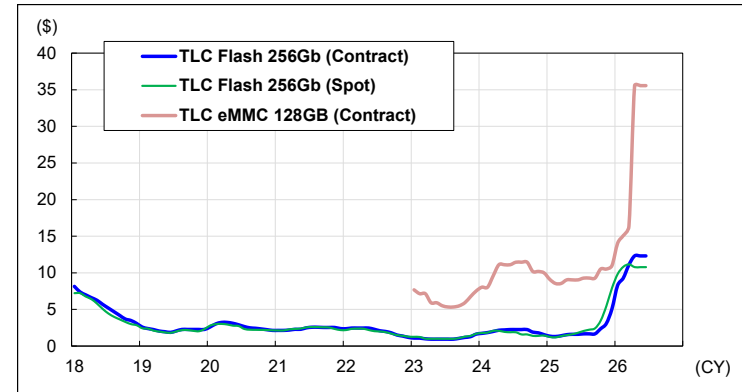
Raw Materials / Commodity Prices (6)

DRAM prices



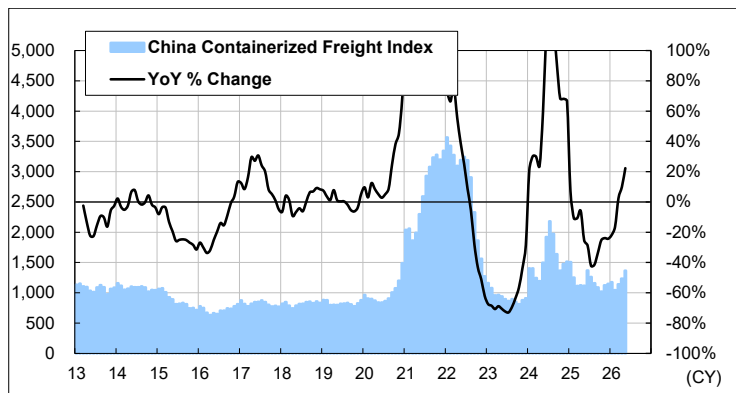
Source: FactSet, Morgan Stanley Research

NAND prices



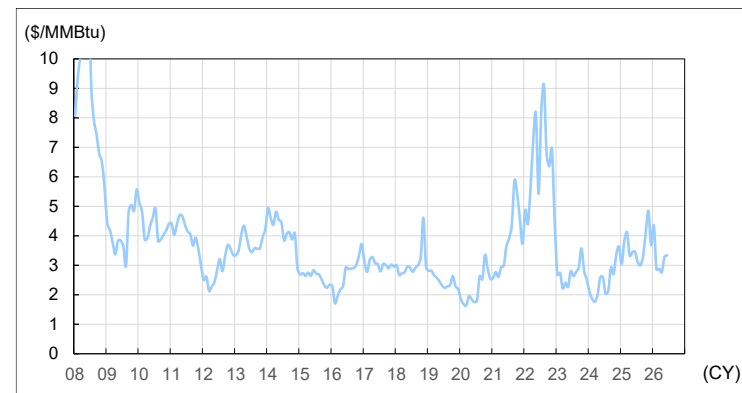
Source: FactSet, Morgan Stanley Research

China containerized freight index (CCFI)



Source: FactSet, Morgan Stanley Research

Natural gas prices



Source: FactSet, Morgan Stanley Research

Impact of Tariff Hikes (1) – Impact on Operating Profit

Impact on automotive business from US tariff hikes in F3/26: Tariffs paid by automakers

FY25 (yen bn)	US production	Mexico	Imports Canada	Japan	Total tariff impact
Toyota	500	200	250	430	1,380
Honda	165	70	98		332
Nissan	85	134		67	286
SUBARU	56			170	227
Mazda	15	29		110	155
Mitsubishi				47	47

Note: The calculation of tariff impact on vehicles produced in the US factors in the tax deduction. Estimated by Morgan Stanley Research, Source: Company data, Morgan Stanley Research

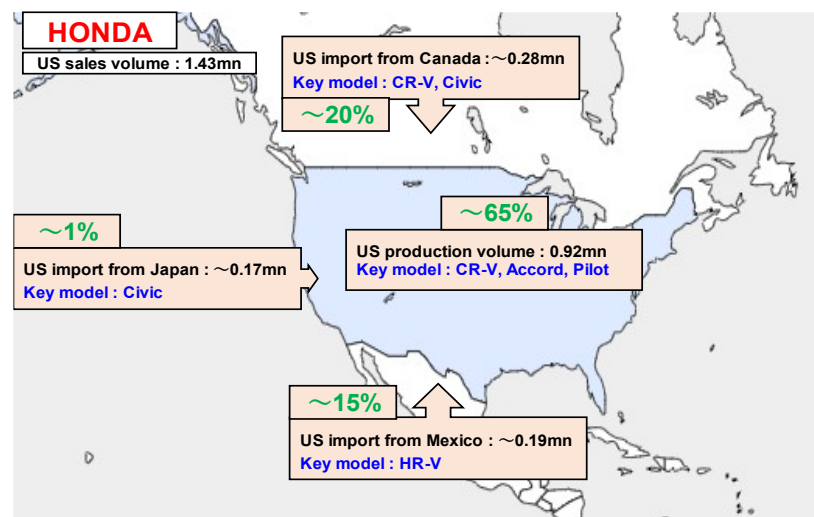
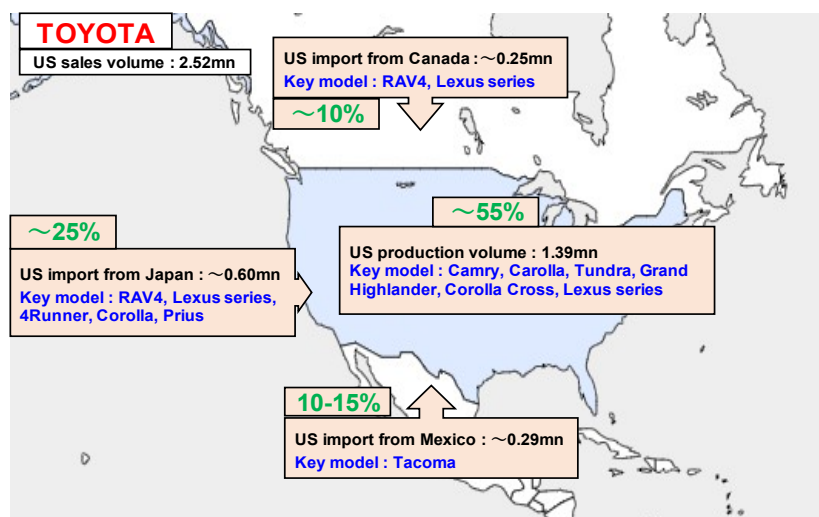
Impact on automotive business from US tariff hikes in F3/27: Tariffs paid by automakers

FY26 (yen bn)	US production	Mexico	Imports Canada	Japan	Total tariff impact
Toyota	420	200	280	280	1,180
Honda	120	70	90		280
Nissan	77	134		45	256
SUBARU	46			120	166
Mazda	15	29		94	139
Mitsubishi				37	37

Note: The calculation of tariff impact on vehicles produced in the US factors in the tax deduction. Source: Company data, Morgan Stanley Research

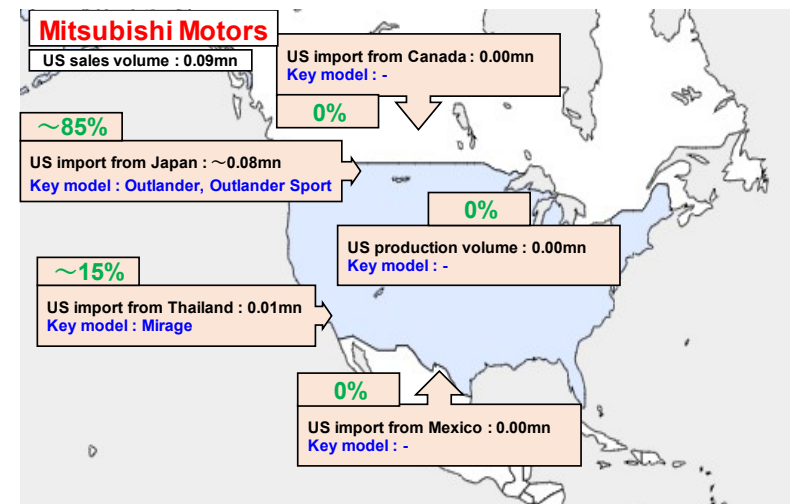
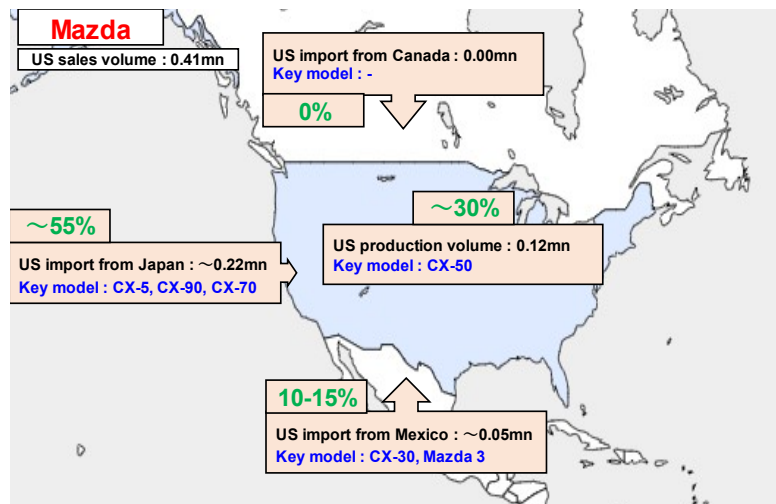
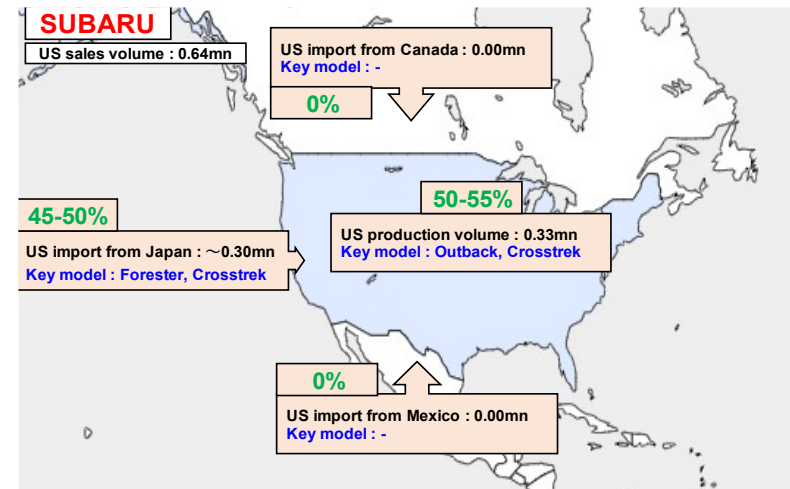
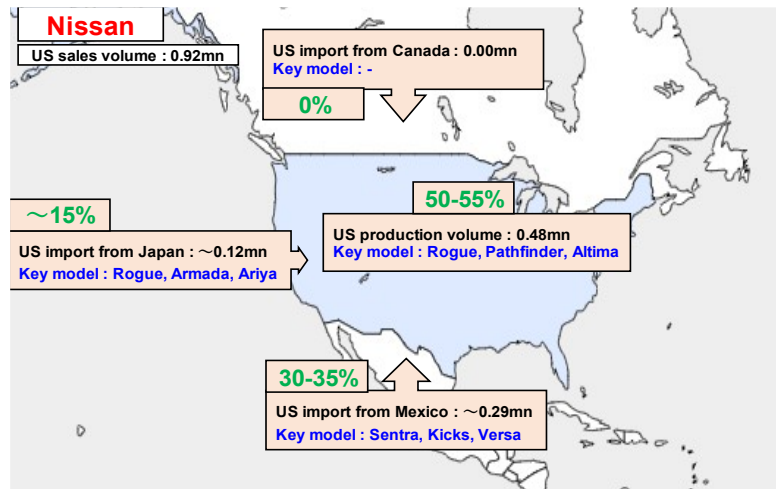
Impact of Tariff Hikes (2) – US Automotive Production, Sales and Import Volumes in 2025

CY25 (k units)	Global Sales	US Sales	US production	Imports			
				Mexico	Canada	Japan	Thailand
Toyota	10,537	2,518	1,394	297	250	599	
Honda	3,522	1,431	929	196	288	17	
Nissan	3,202	926	486	298		127	
SUBARU	924	644	338			305	
Mazda	1,256	410	124	55		224	
Mitsubishi	807	95				80	15



Source: Company data, MarkLines, Morgan Stanley Research

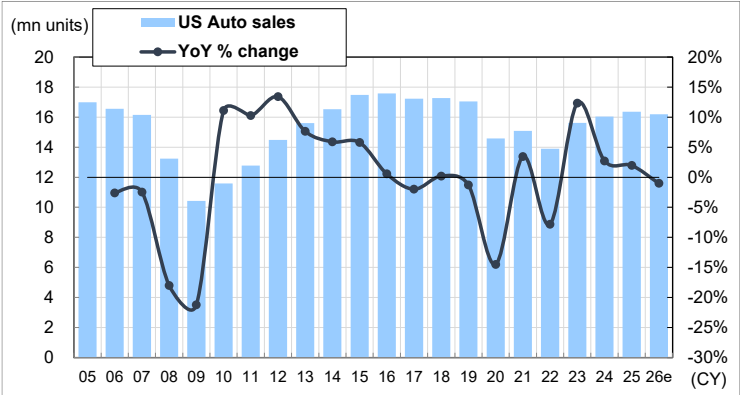
Impact of Tariff Hikes (3) – US Automotive Production, Sales and Import Volumes in 2025



Source: Company data, MarkLines, Morgan Stanley Research

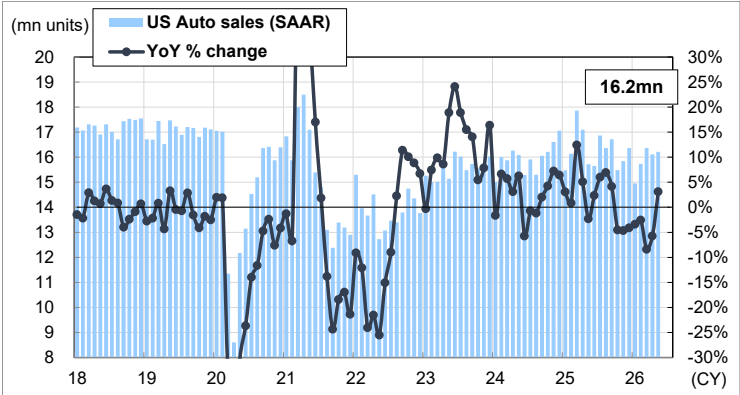
US Auto Market (1)

US auto sales



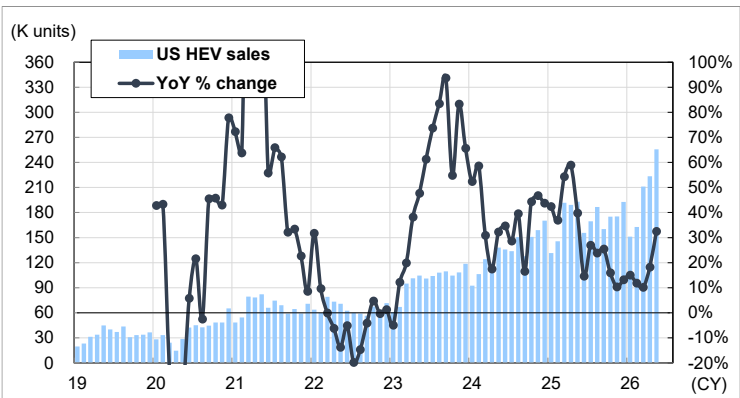
e = Morgan Stanley Research estimates, Source: Motor Intelligence, Morgan Stanley Research

US auto monthly sales



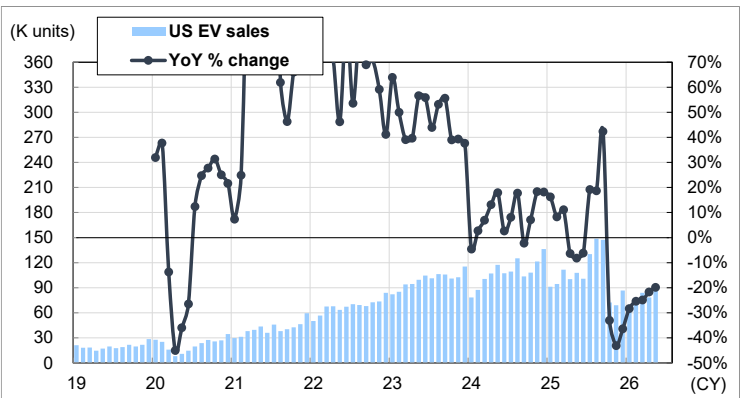
Source: Motor Intelligence, Morgan Stanley Research

US HEV sales



Source: Motor Intelligence, Morgan Stanley Research

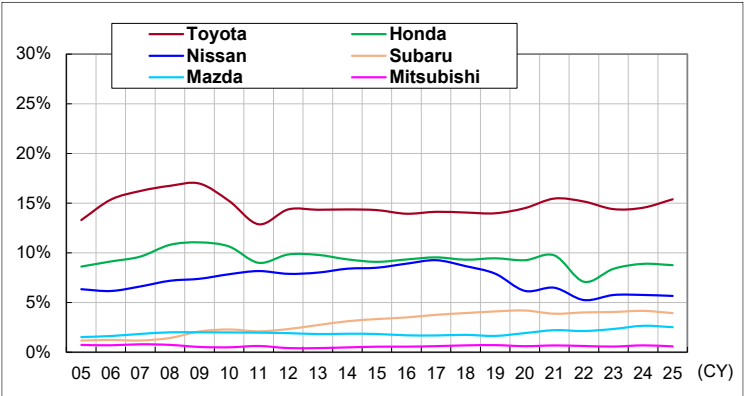
US EV sales



Source: Motor Intelligence, Morgan Stanley Research

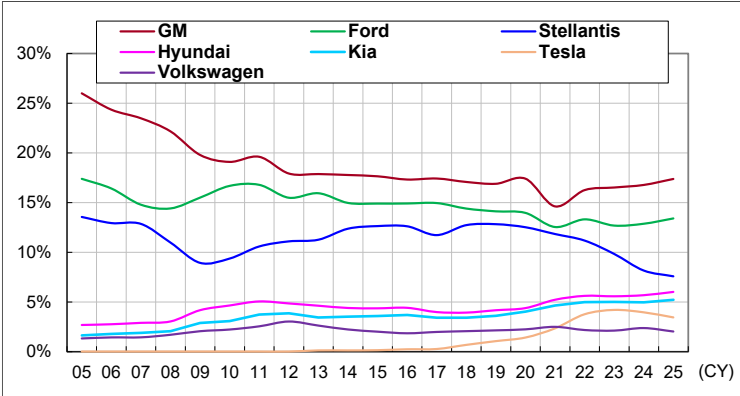
US Auto Market (2)

J-OEMs: US vehicle market share



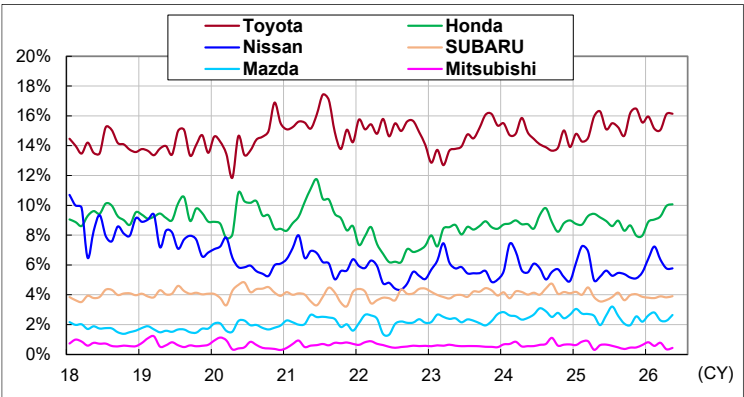
Source: Motor Intelligence, Morgan Stanley Research

US vehicle market share



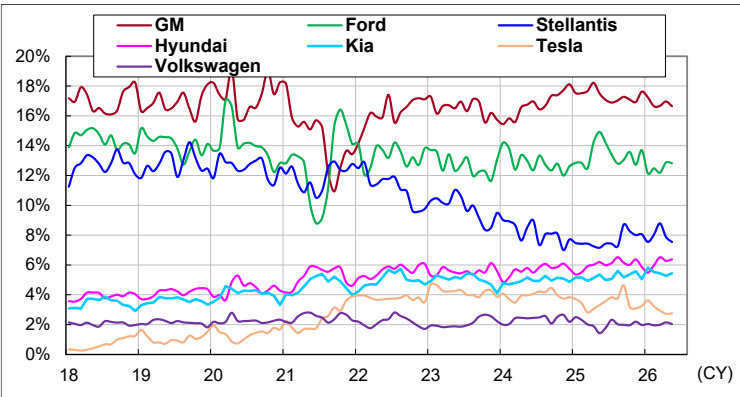
Source: Motor Intelligence, Morgan Stanley Research

J-OEMs: Monthly US vehicle market share



Source: Motor Intelligence, Morgan Stanley Research

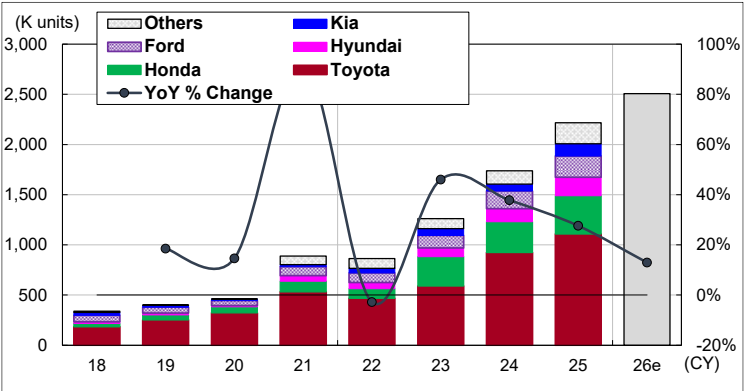
Monthly US vehicle market share



Source: Motor Intelligence, Morgan Stanley Research

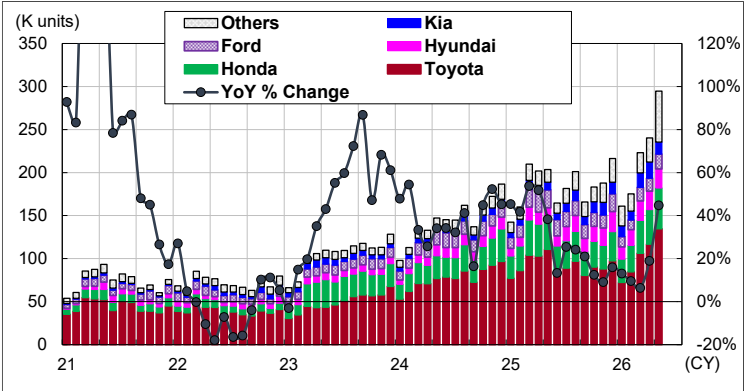
US Auto Market (3)

US HEV sales



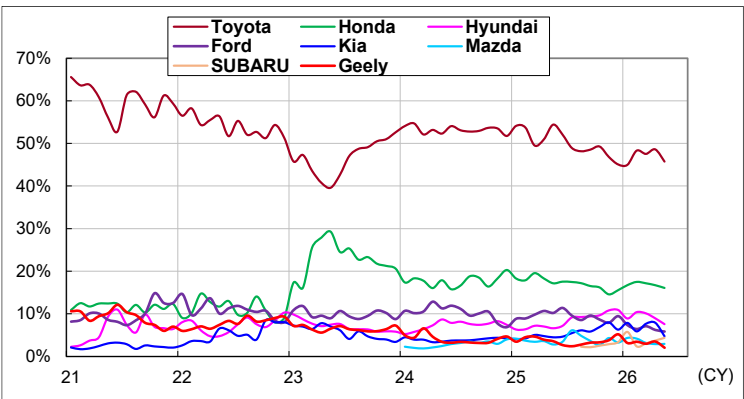
e = Morgan Stanley Research estimates,
Source: MarkLines, Morgan Stanley Research

US Quarterly HEV sales



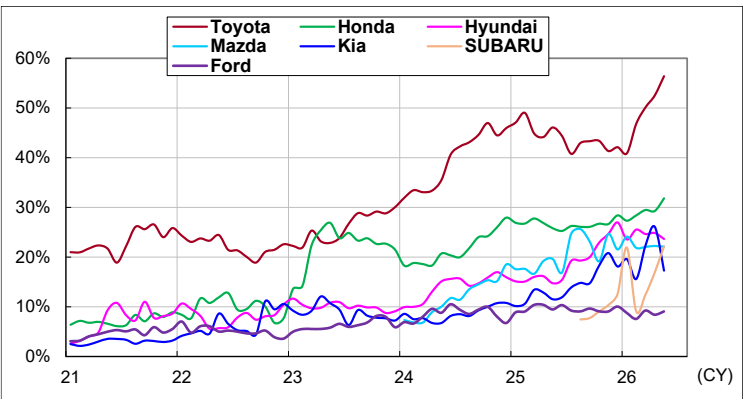
Source: MarkLines, Morgan Stanley Research

Monthly US vehicle market share for HEV



Source: MarkLines, Morgan Stanley Research

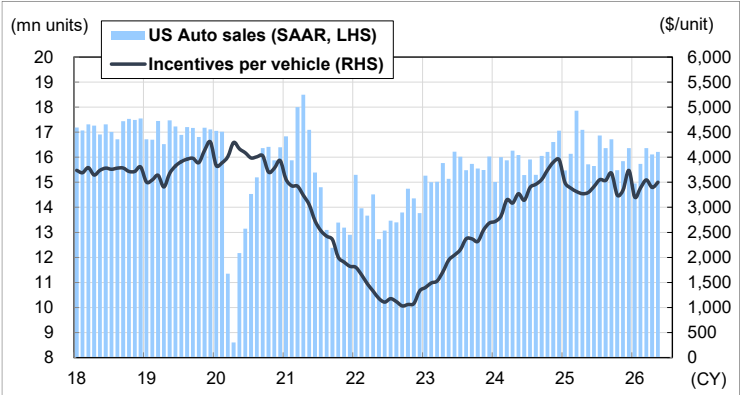
HEV Penetration for Key OEMs in the US



Source: MarkLines, Morgan Stanley Research

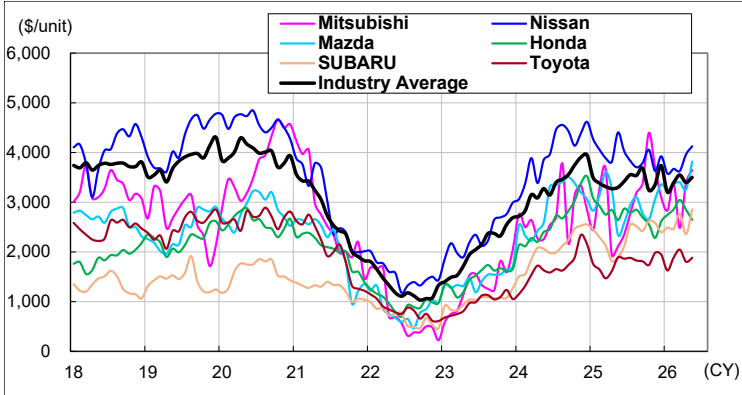
US Auto Market (4)

US vehicle sales volume and incentives per vehicle



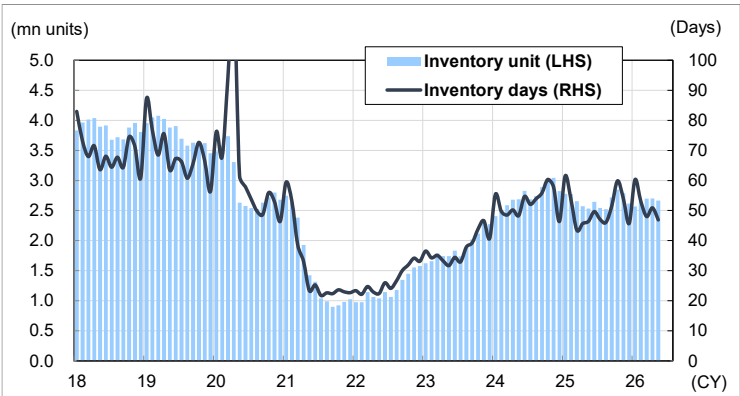
Source: Motor Intelligence, Morgan Stanley Research

J-OEMs: US incentives per vehicle



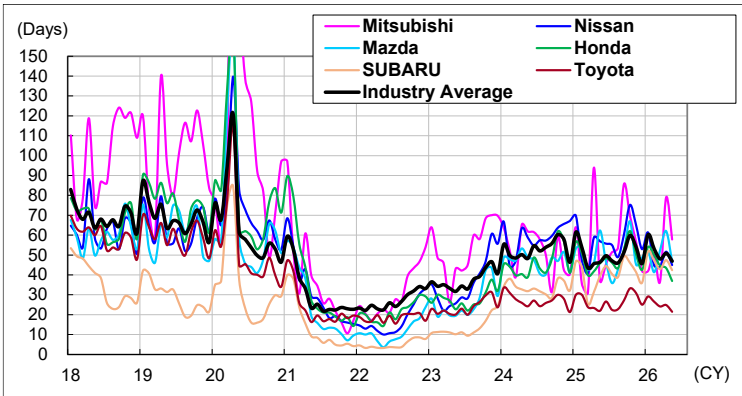
Source: Motor Intelligence, Morgan Stanley Research

US vehicle inventory and inventory days



Source: Motor Intelligence, Morgan Stanley Research

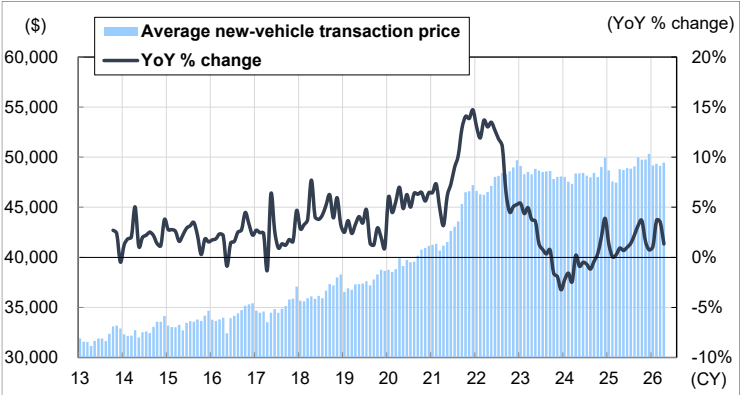
J-OEMs: US inventory days



Source: Motor Intelligence, Morgan Stanley Research

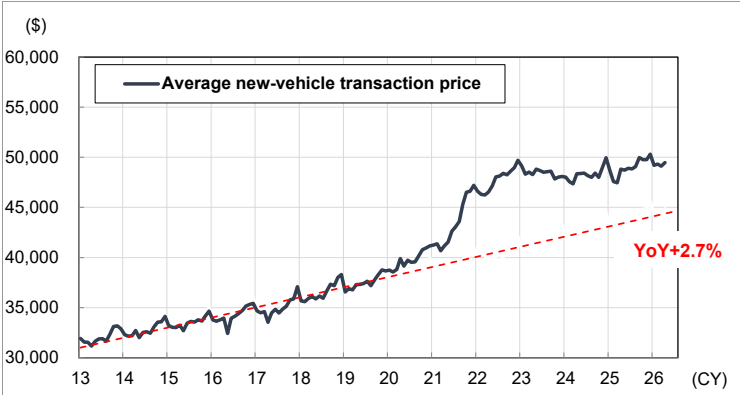
US Auto Market (5)

US average transaction price (ATP) for new vehicles



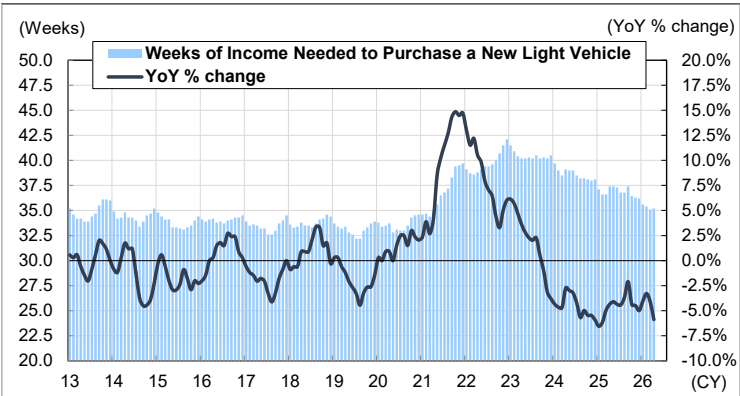
Source: Kelley Blue Book, Morgan Stanley Research

US ATP for new vehicles and long-term trend



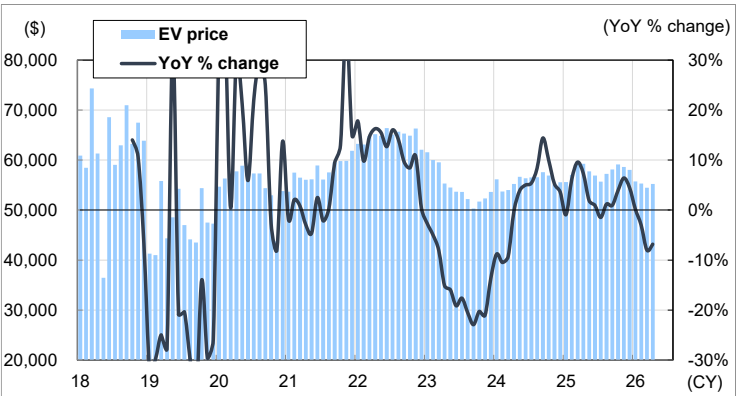
Source: Kelley Blue Book, Morgan Stanley Research

Weeks of income needed to buy a new vehicle in the US



Source: Kelley Blue Book, Morgan Stanley Research

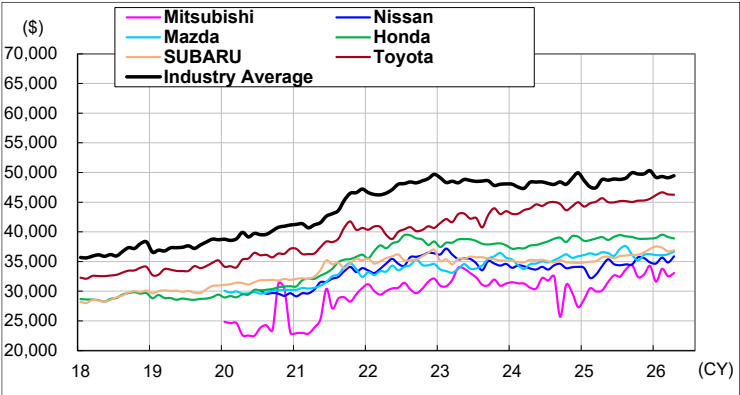
US ATP for new electric vehicles



Source: Kelley Blue Book, Morgan Stanley Research

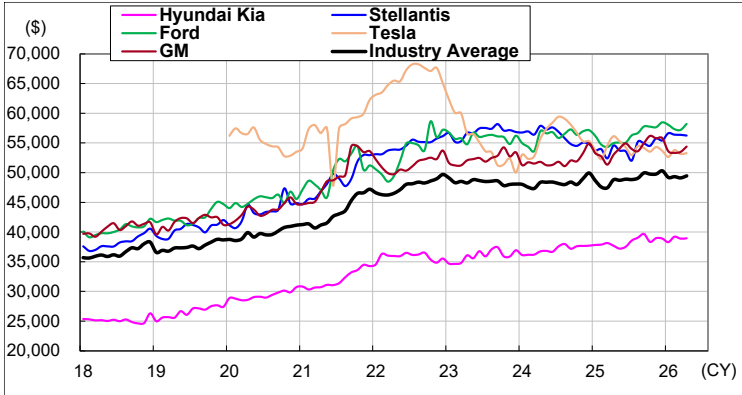
US Auto Market (6)

J-OEMs: US ATP for new vehicles



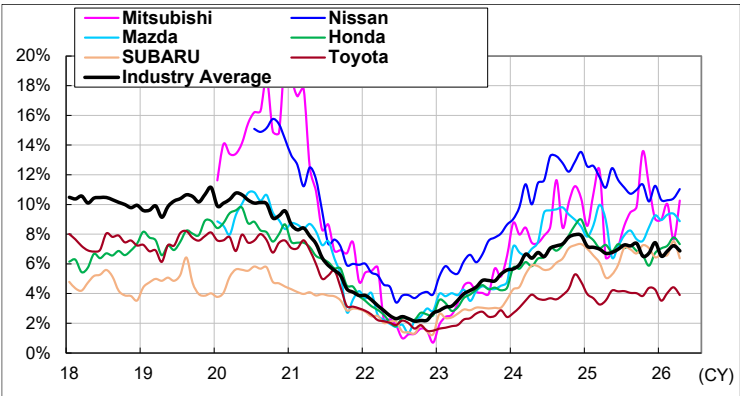
Source: Kelley Blue Book, Morgan Stanley Research

US ATP for new vehicles



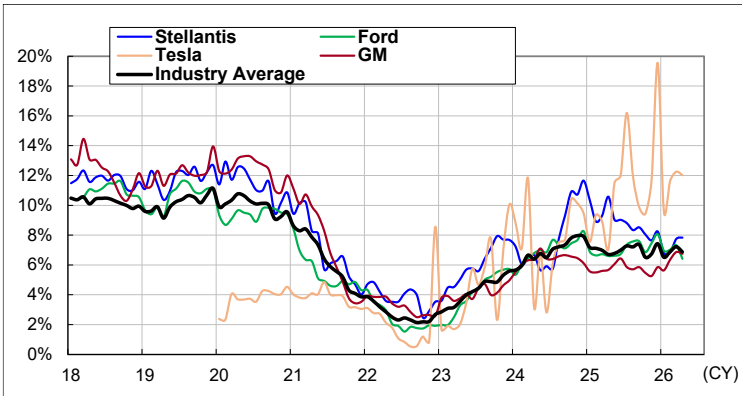
Source: Kelley Blue Book, Morgan Stanley Research

J-OEMs: US ATP for new vehicle and incentive spend ratio



Source: Kelley Blue Book, Morgan Stanley Research

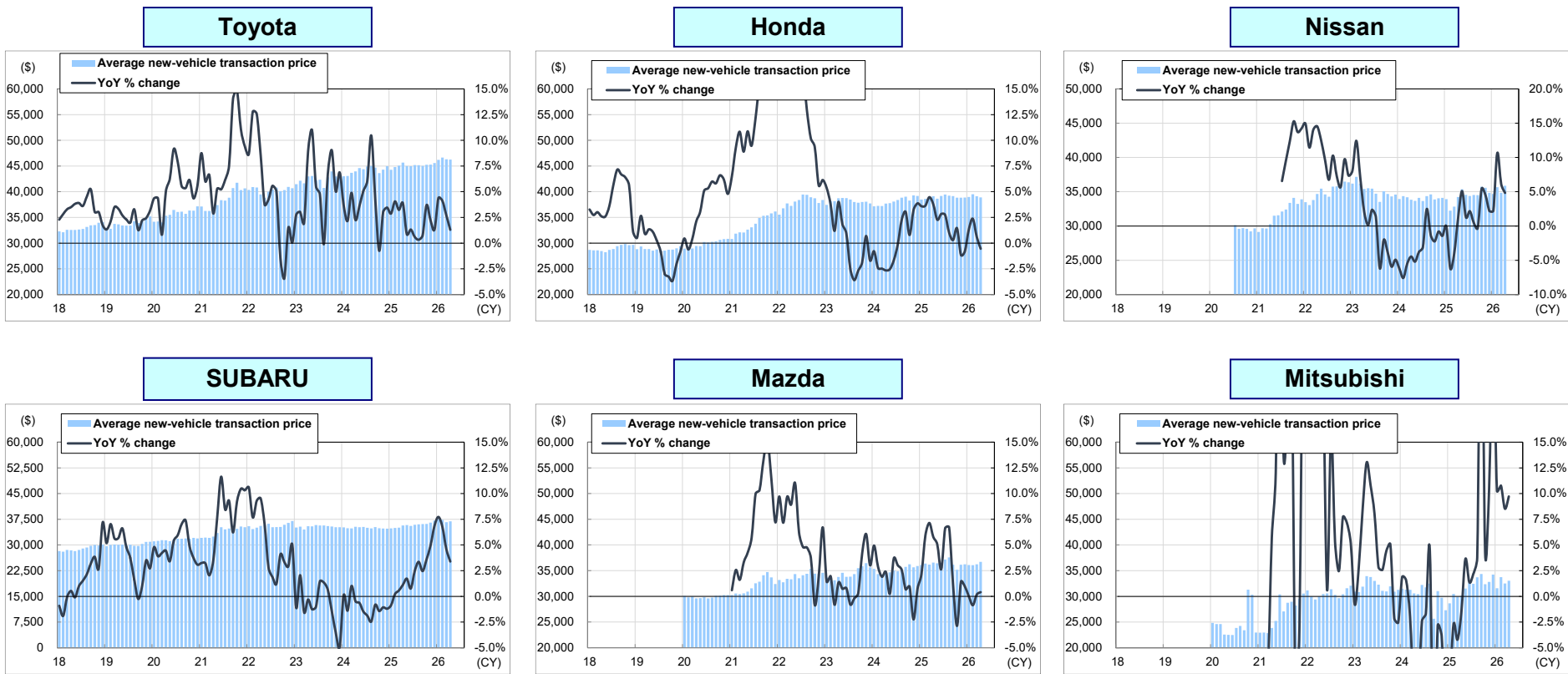
US ATP for new vehicle and incentive spend ratio



Source: Kelley Blue Book, Morgan Stanley Research

US Auto Market (7)

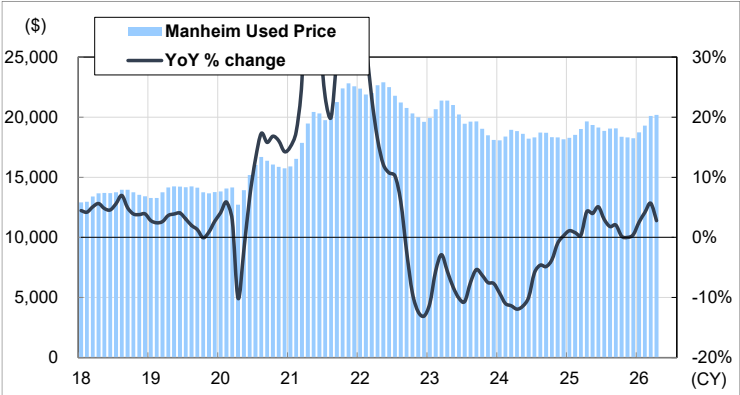
US average transaction price and YoY % change



Source: Kelley Blue Book, Morgan Stanley Research

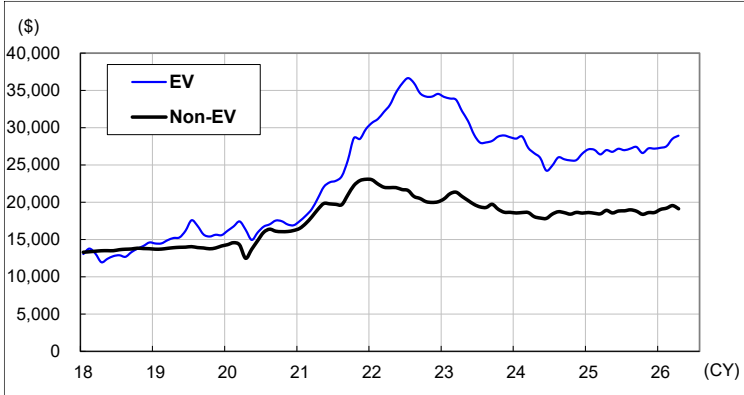
US Auto Market (8)

Used car prices in the US market



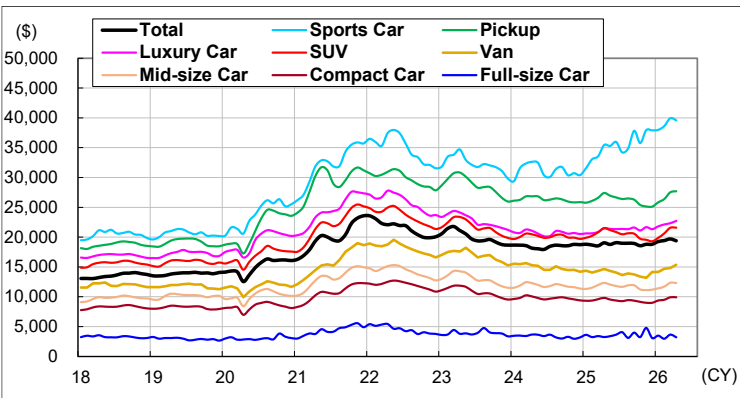
Source: Manheim, Morgan Stanley Research

Used car prices in the US market (EV and Non-EV)



Source: Manheim, Morgan Stanley Research

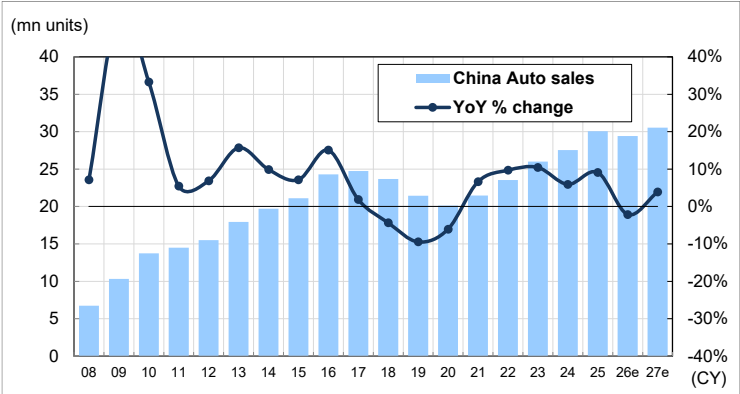
Used car prices by segment in the US market



Source: Manheim, Morgan Stanley Research

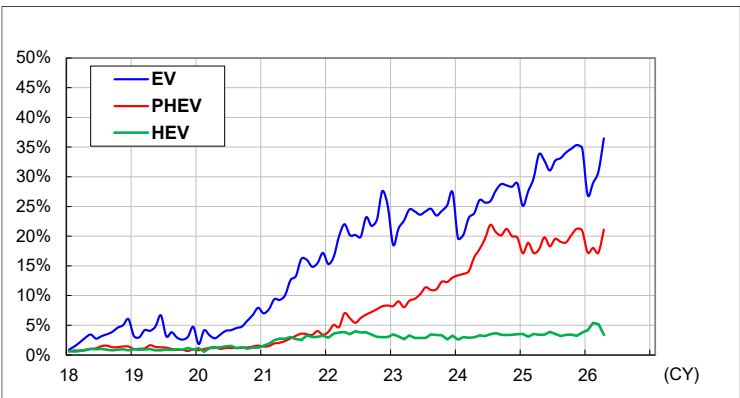
China Auto Market (1)

China auto sales (incl. export)



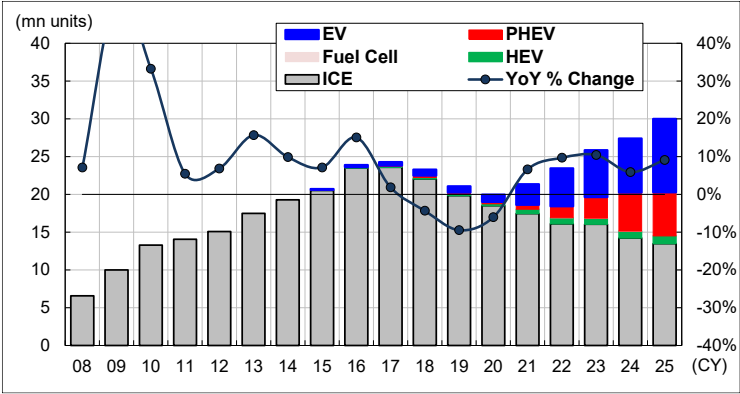
e = Morgan Stanley Research estimates,
Source: CAAM, Morgan Stanley Research

China auto sales ratio by powertrain (incl. export)



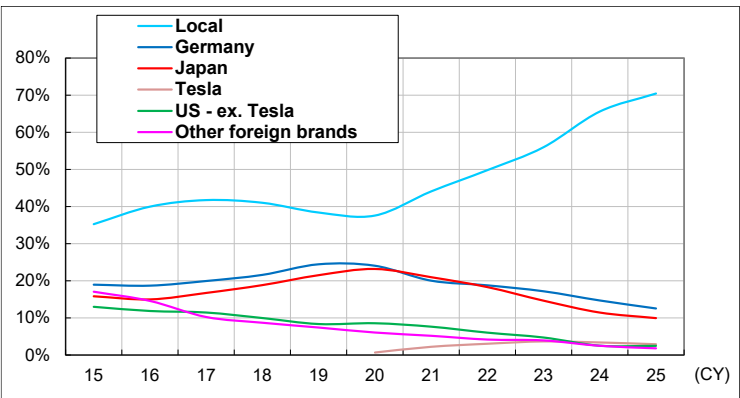
Source: CAAM, Morgan Stanley Research

China auto sales by powertrain (incl. export)



Source: CAAM, Morgan Stanley Research

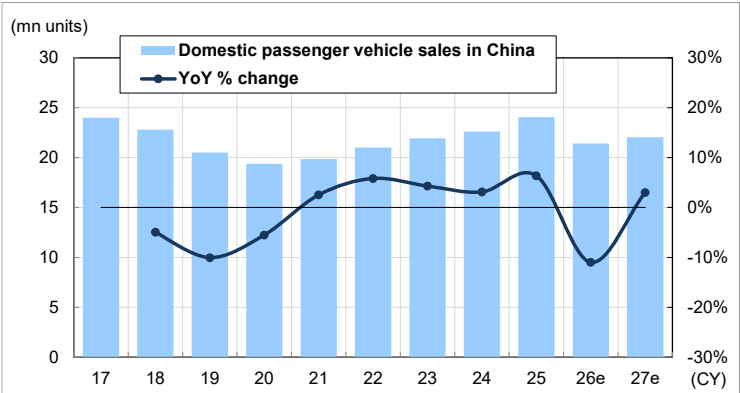
China vehicle market share by country



Source: CPCA, Morgan Stanley Research

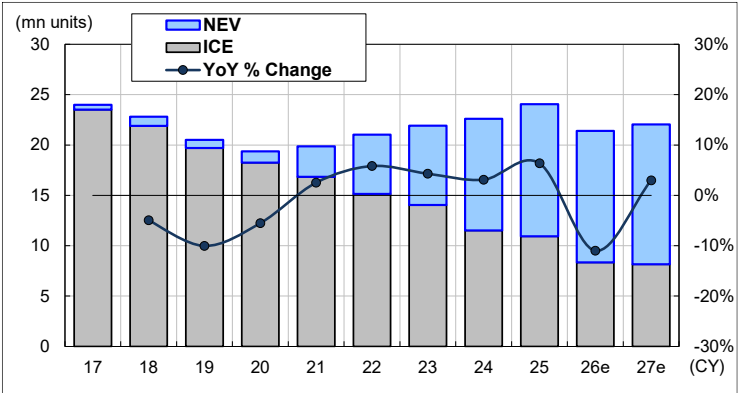
China Auto Market (2)

Passenger vehicle sales in China



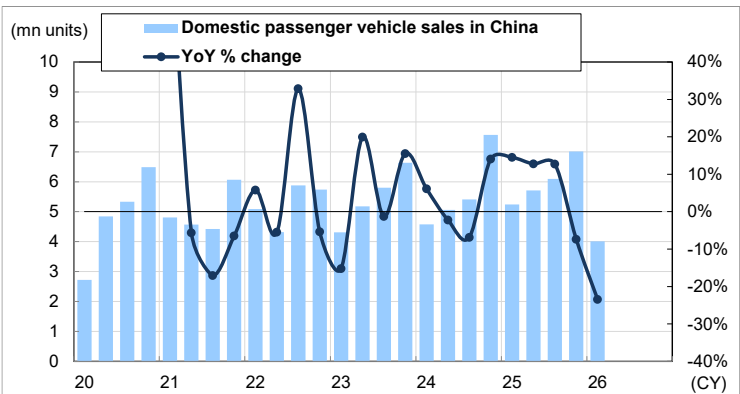
e = Morgan Stanley Research estimates,
Source: CAAM, Morgan Stanley Research

Passenger vehicle sales in China by powertrain



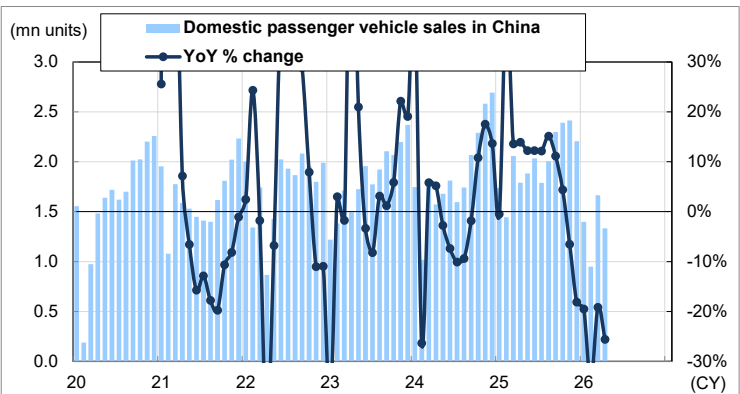
e = Morgan Stanley Research estimates,
Source: CAAM, Morgan Stanley Research

Quarterly passenger vehicle sales in China



Source: CAAM, Morgan Stanley Research

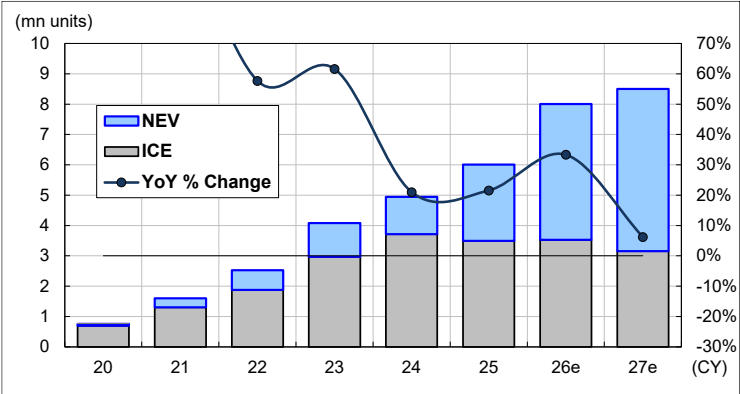
Monthly passenger vehicle sales in China



Source: CAAM, Morgan Stanley Research

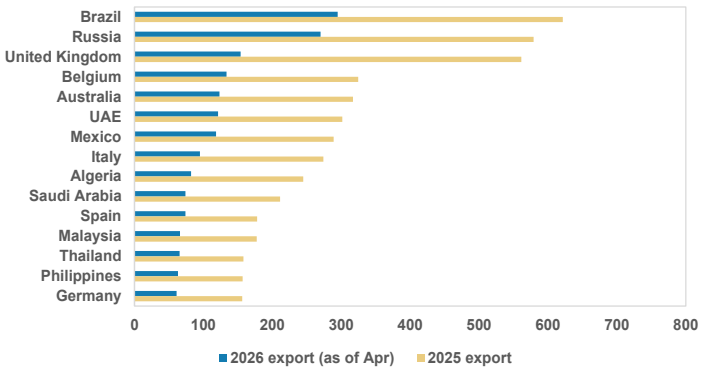
China Auto Market (3)

Passenger vehicle export volumes from China



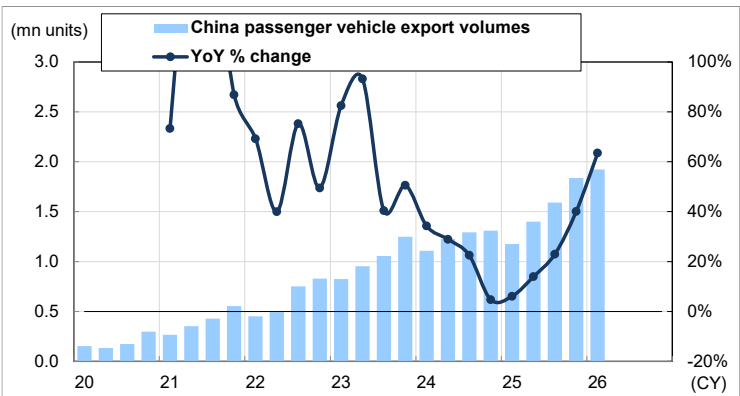
e = Morgan Stanley Research estimates,
Source: CAAM, Morgan Stanley Research

PV export volumes from China by destination



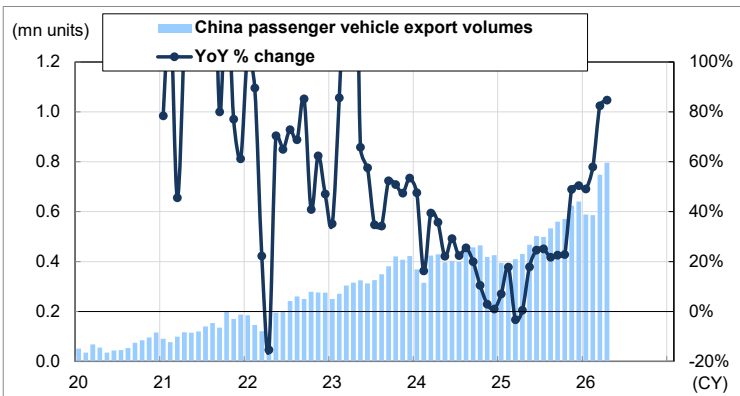
Source: CAAM, Morgan Stanley Research

Quarterly passenger vehicle export volumes from China



Source: CAAM, Morgan Stanley Research

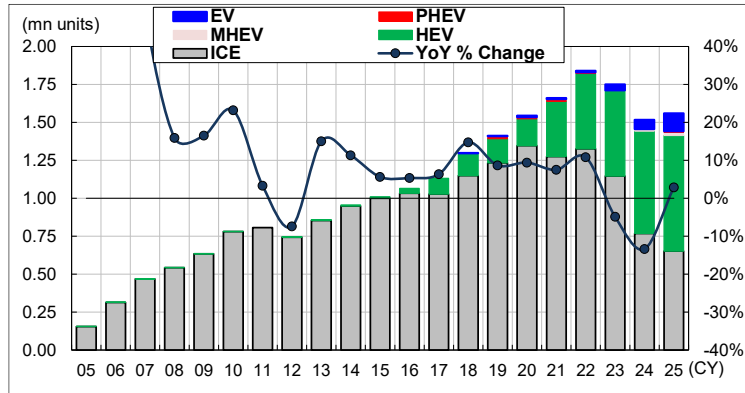
Monthly passenger vehicle export volumes from China



Source: CAAM, Morgan Stanley Research

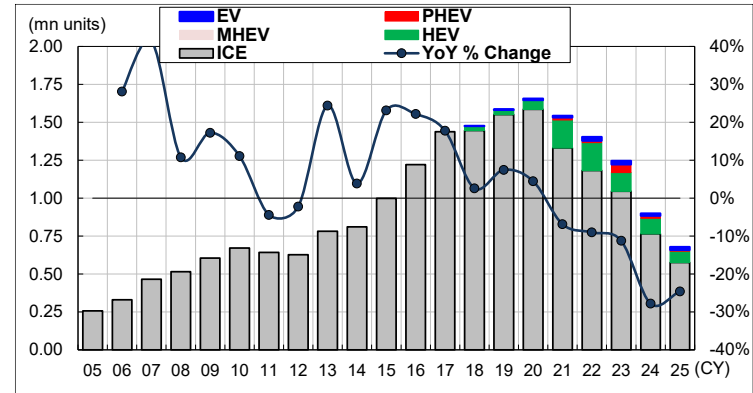
China Auto Market (4)

Toyota: China auto sales by powertrain



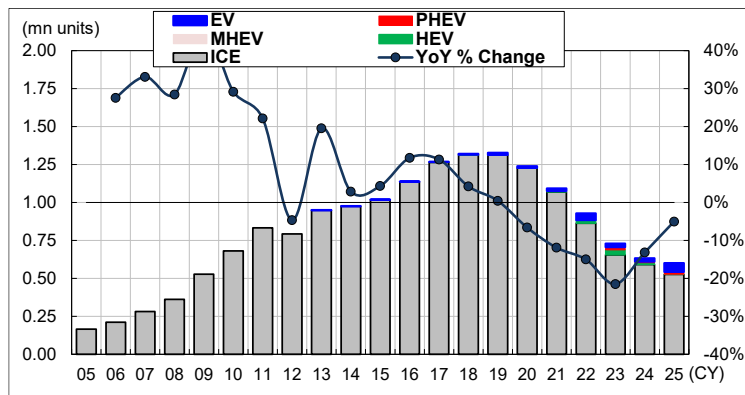
Source: MarkLines, Morgan Stanley Research

Honda: China auto sales by powertrain



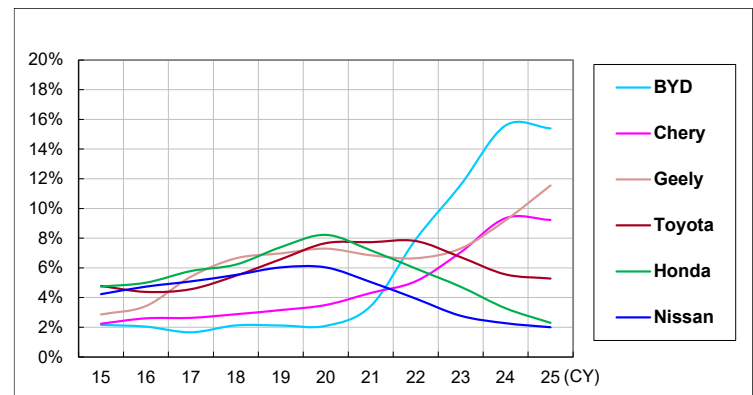
Source: MarkLines, Morgan Stanley Research

Nissan: China auto sales by powertrain



Source: MarkLines, Morgan Stanley Research

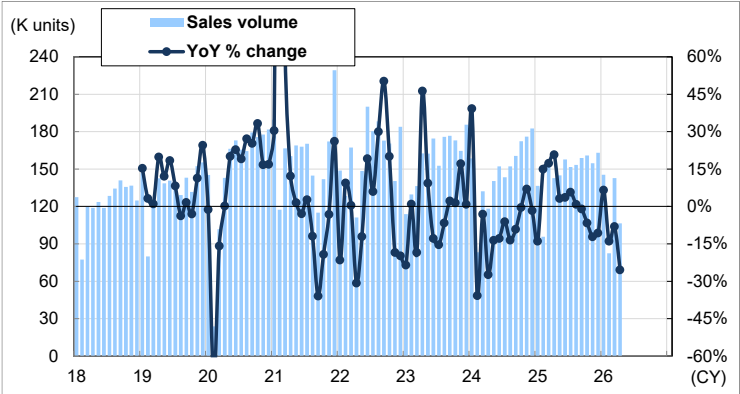
China vehicle market share



Source: CPCA, Morgan Stanley Research

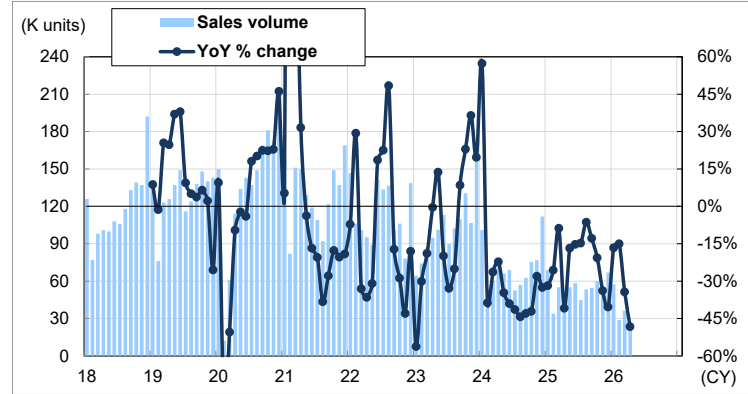
China Auto Market (5)

Toyota: China auto monthly sales



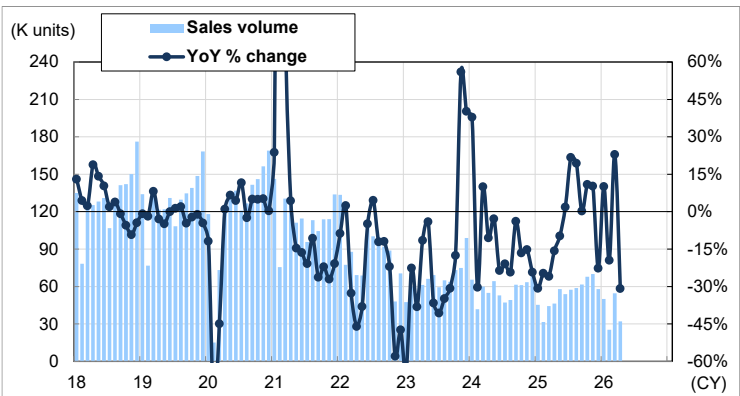
Source: Company data, Morgan Stanley Research

Honda: China auto monthly sales



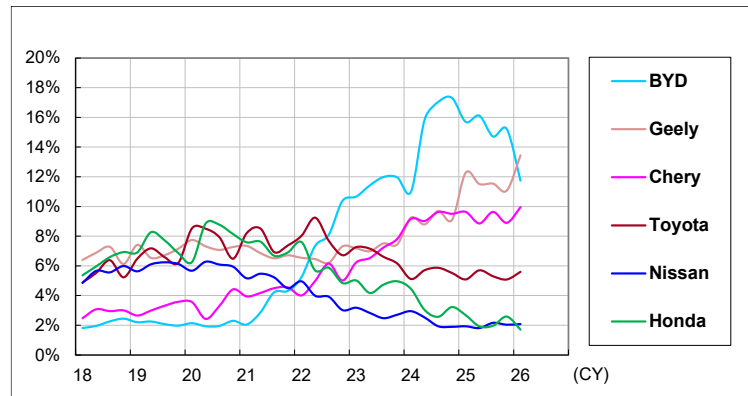
Source: Company data, Morgan Stanley Research

Nissan: China auto monthly sales



Source: Company data, Morgan Stanley Research

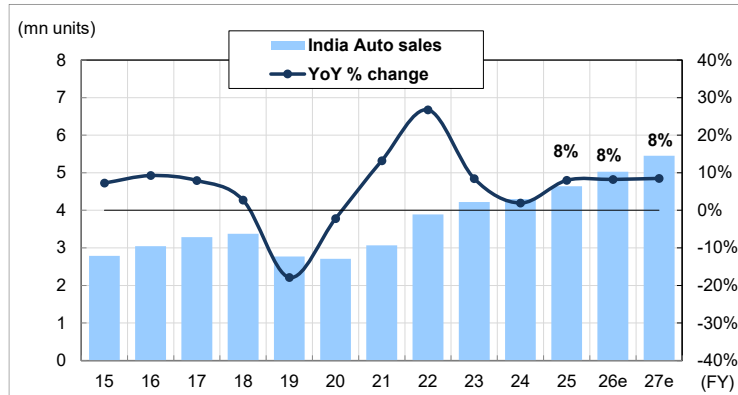
China vehicle market share



Source: CPCA, Morgan Stanley Research

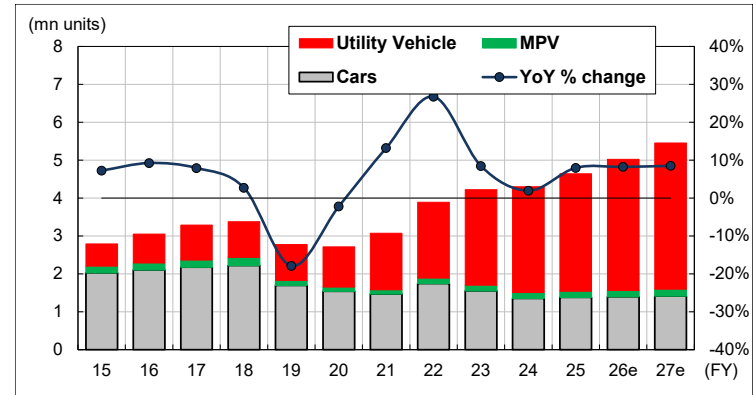
India Auto Market (1)

India auto sales



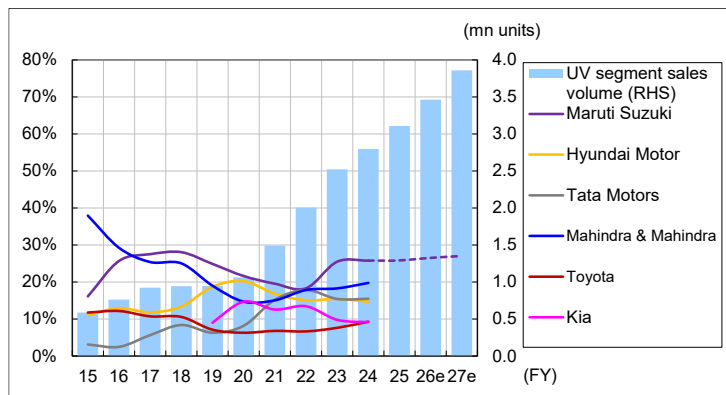
e = Morgan Stanley Research estimates.
Source: SIAM, Morgan Stanley Research

India auto sales by segment



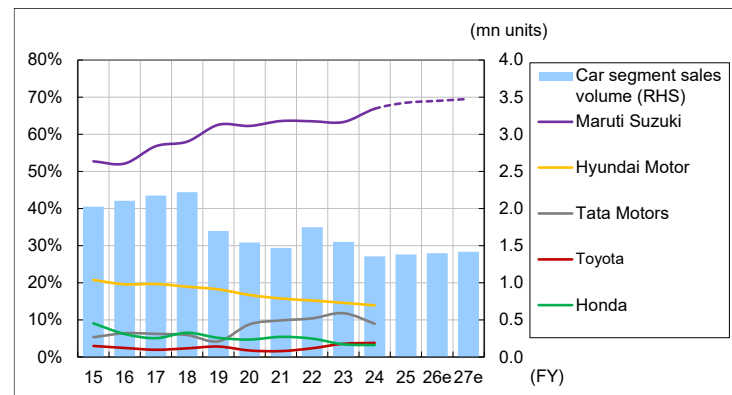
e = Morgan Stanley Research estimates.
Source: SIAM, Morgan Stanley Research

Sales volume in UV segment and market share by company



e = Morgan Stanley Research estimates.
Source: SIAM, Morgan Stanley Research

Car segment sales volume and market share by company



e = Morgan Stanley Research estimates.
Source: SIAM, Morgan Stanley Research

India Auto Market (2)

Goods and Service Tax (GST) has been reduced from September 22, 2025

	Total length	Power train	Displacement	Previous Tax rate			New Tax rate	
				GST ^{*1}	CESS ^{*2}	Total	New GST	Reduction
Compact	≤4m	Petrol	≤1,200cc	28%	1%	29%	18%	-11%
		Diesel	≤1,500cc	28%	3%	31%		-13%
Other than above			≤1,500cc	28%	17%	45%	40%	-5%
			>1,500cc	28%	20%	48%		-8%
SUV ^{*3}	>4m		>1,500cc	28%	22%	50%		-10%
HEV				28%	15%	43%		-3%
EV				5%	0%	5%	5%	±0%

*1 GST Abbreviation of Goods and Service Tax

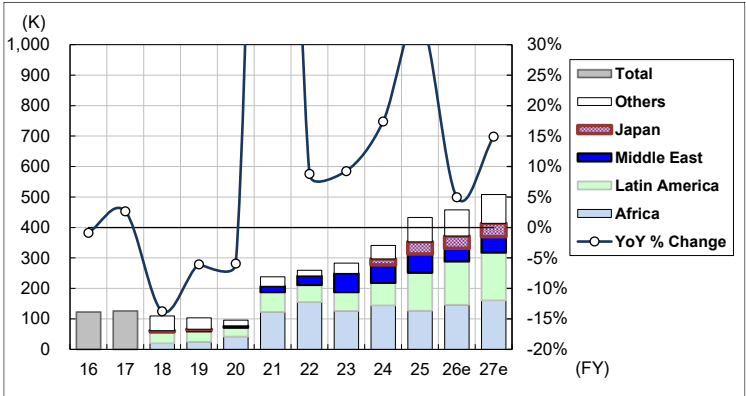
*2 CESS Form of tax levied to compensate the states revenue shortfall due to the introduction of GST in India

*3 SUV Minimum ground clearance of 170mm or more

Source: Company data, Morgan Stanley Research

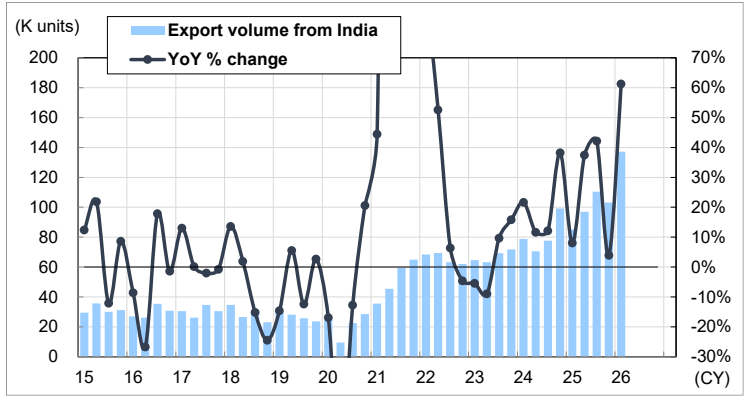
Suzuki: Exports from India

Suzuki: Automobile exports from India by destination



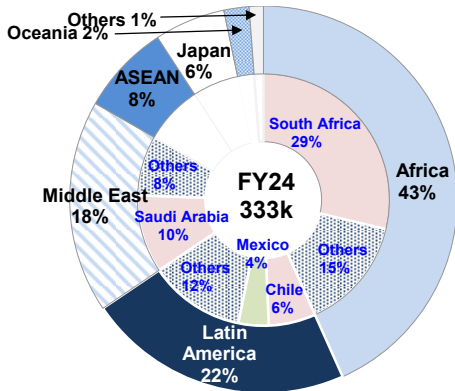
e = Morgan Stanley Research estimates,
Source: Company data, Morgan Stanley Research

Suzuki: Quarterly automobile exports from India



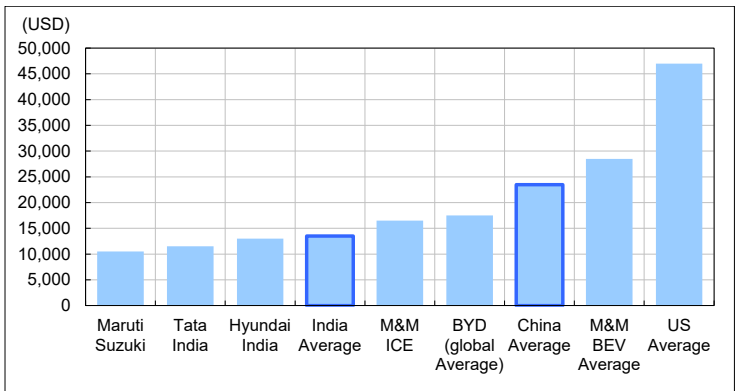
Source: Company data, Morgan Stanley Research

Suzuki: Auto exports from India in F3/25 by destination



Source: Company data, Morgan Stanley Research

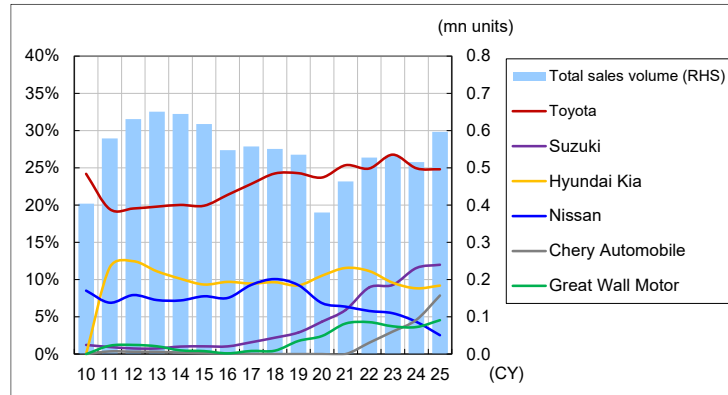
Average automobile price comparison



Source: Company data, Morgan Stanley Research

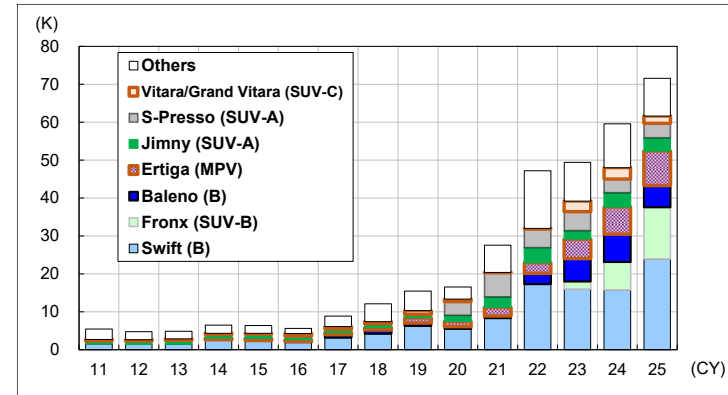
Auto Market in South Africa and Saudi Arabia and Suzuki's Sales Volume

South Africa: Auto sales and market share by company



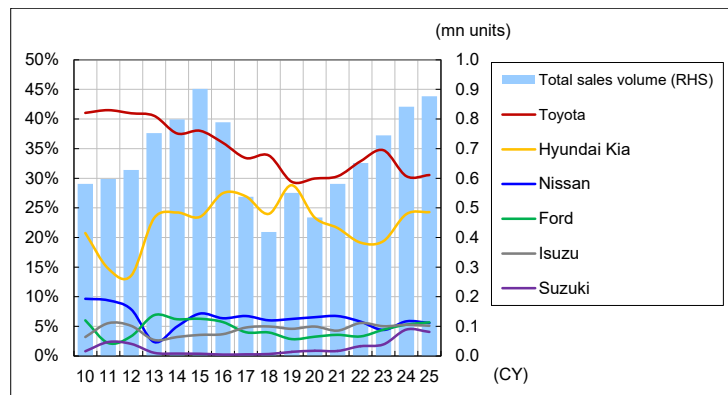
Source: MarkLines, Morgan Stanley Research

Suzuki: South Africa sales volume by model



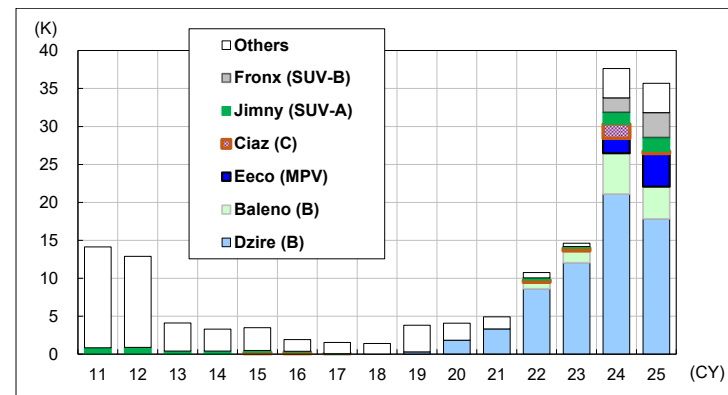
Source: MarkLines, Morgan Stanley Research

Saudi Arabia: Auto sales and market share by company



Source: MarkLines, Morgan Stanley Research

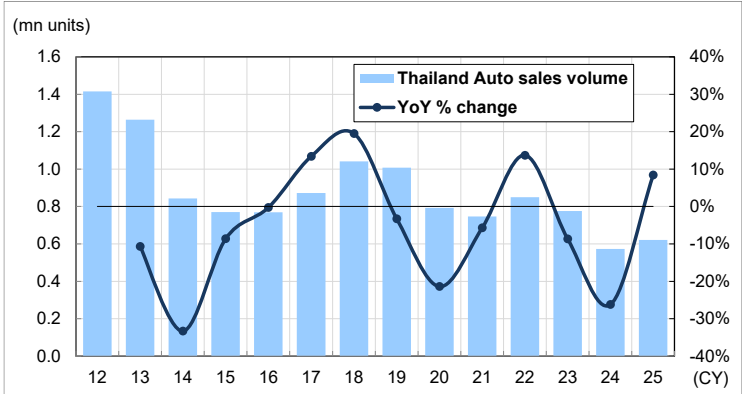
Suzuki: Saudia Arabia sales volume by model



Source: MarkLines, Morgan Stanley Research

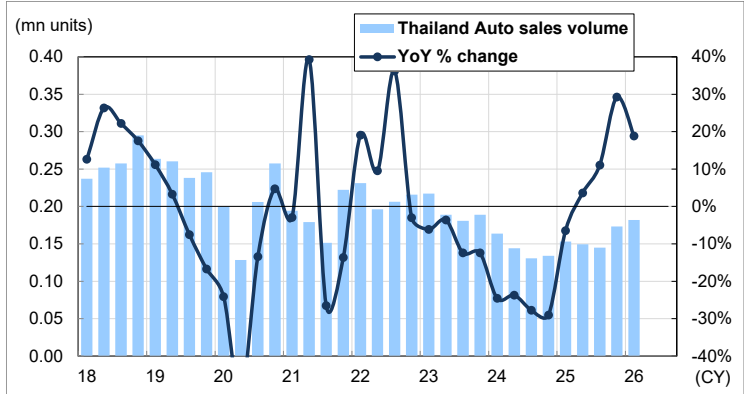
Thailand Auto Market (1)

Thailand auto sales



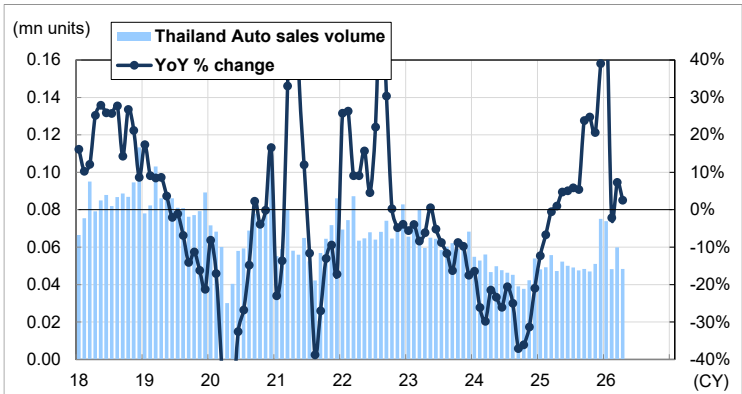
Source: FTI, Morgan Stanley Research

Thailand quarterly auto sales



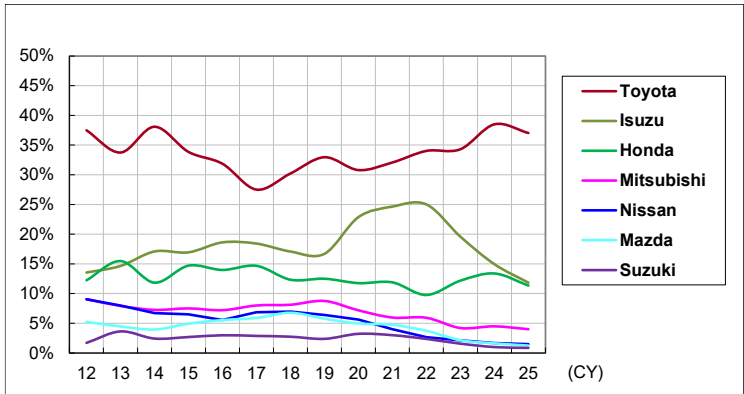
Source: FTI, Morgan Stanley Research

Thailand monthly auto sales



Source: FTI, Morgan Stanley Research

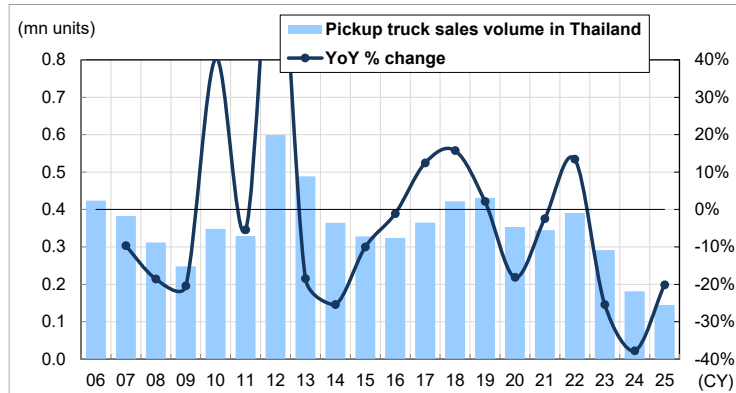
Thailand vehicle market share



Source: Toyota Motor Thailand, Morgan Stanley Research

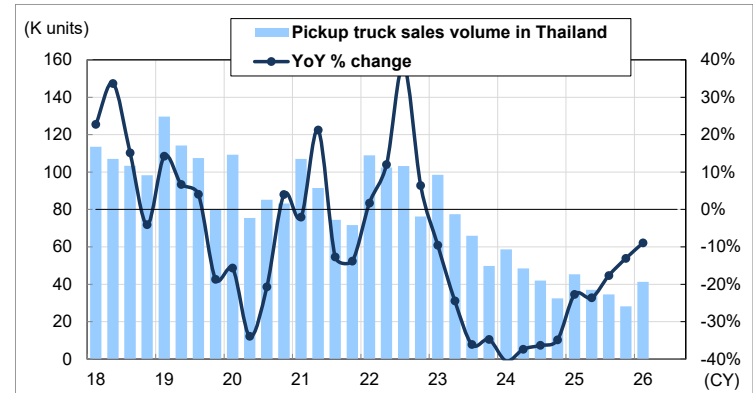
Thailand Auto Market (2)

Thailand: Sales volume in pickup truck segment



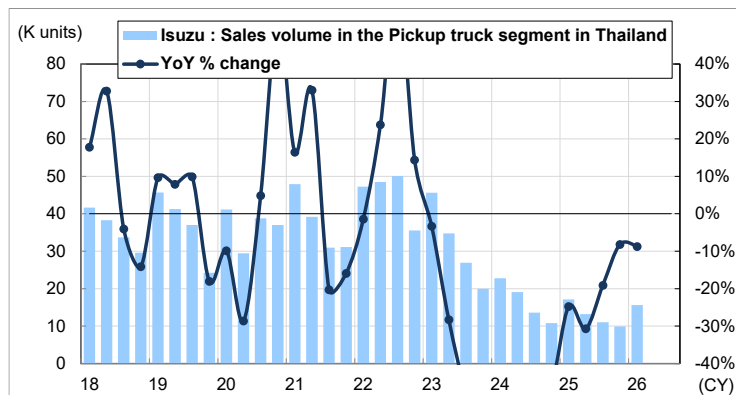
Source: MarkLines, Morgan Stanley Research

Thailand: Quarterly sales volume in pickup truck segment



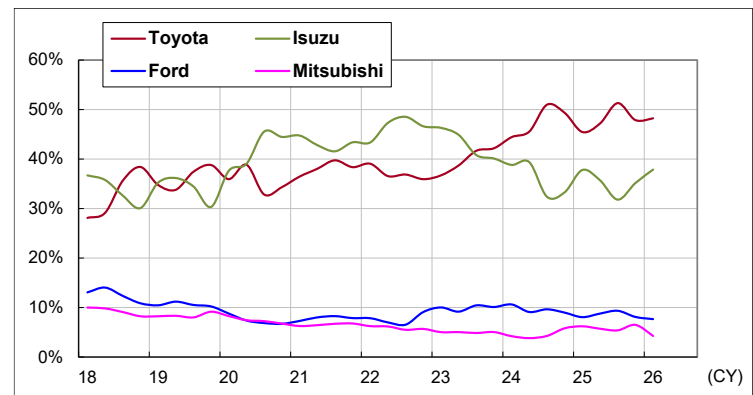
Source: MarkLines, Morgan Stanley Research

Isuzu: Quarterly sales in pickup truck segment in Thailand



Source: MarkLines, Morgan Stanley Research

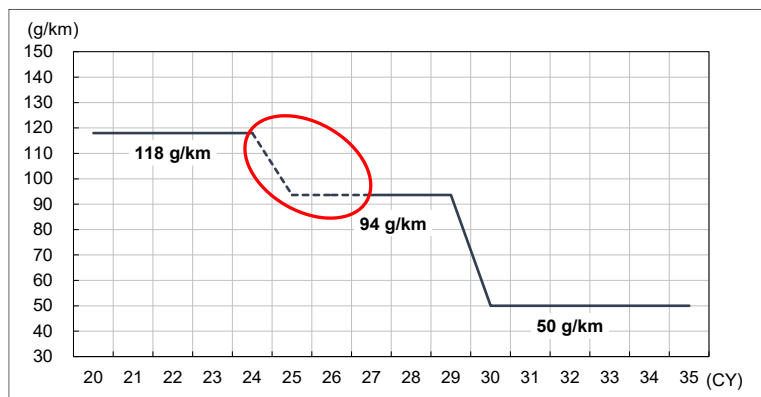
Thailand: Vehicle market share in pickup truck segment



Source: MarkLines, Morgan Stanley Research

Environmental Regulations

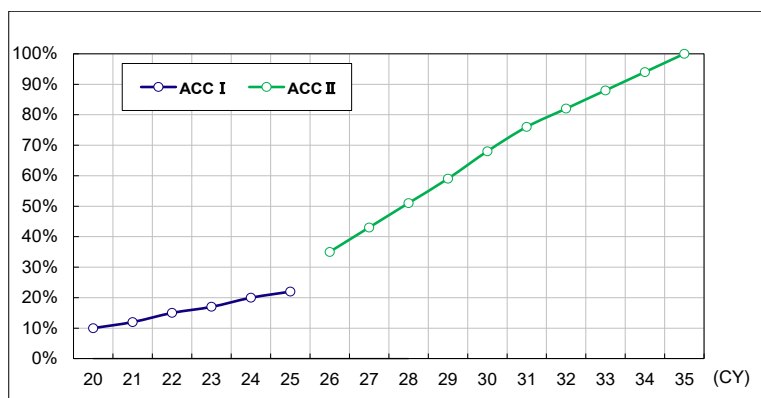
European CO2 emissions regulations



Source: EEA, Morgan Stanley Research

- EU tightened new vehicle CO₂ limits in 2025 from 118g/km to 94g, with fines of €95 per gram over the limit.
- In March 2025, in response to requests from automakers, the European Commission announced that it will keep the 94g limit, but it takes the average over three years (2025-27), rather than the result for 2025 alone.
- In December 2025, the European Commission announced plans to scrap the 2035 ban on new internal combustion engine cars, signaling a shift toward looser environmental rules.

US Zero-Emission Vehicle (ZEV) regulations – EV and PHEV sales mix (volume)



Source: CARB, Morgan Stanley Research

- Advanced Clean Cars II (ACC II) enacted by California Air Resources Board (CARB) requires a ZEV sales ratio of 35% for 2026 model year cars, gradually increasing to 100% by 2035 (automakers that fail to meet the standards must pay a fine of up to \$20k per vehicle short of the target).
- However, in May 2025, the US Congress passed a resolution to nullify the ZEV regulations.
- In response, in June 2025, states such as California filed a lawsuit seeking to overturn the congressional resolution.

Environmental Regulations and Subsidy Policies in the US

□ Corporate Average Fuel Economy (CAFE) Regulations

- If the fuel economy target is not met, a fine of \$5 per vehicle (up to \$10) will be imposed for every 0.1 mpg shortfall.
- The National Highway Traffic Safety Administration (NHTSA) estimated that by the 2032 model year, the industry could face fines totaling \$14 billion.
- However, in July 2025, a decision was made to nullify this penalty.

□ Greenhouse Gas (GHG) Regulations

- In Feb 2026, the U.S. Environmental Protection Agency (EPA) announced the repeal of greenhouse gas (GHG) emission standards for vehicles and engines manufactured or imported into the US.
- The repeal will take effect on April 20; however, products manufactured or imported since 2012 may be subject to retroactive application, even if they were produced prior to the effective date.

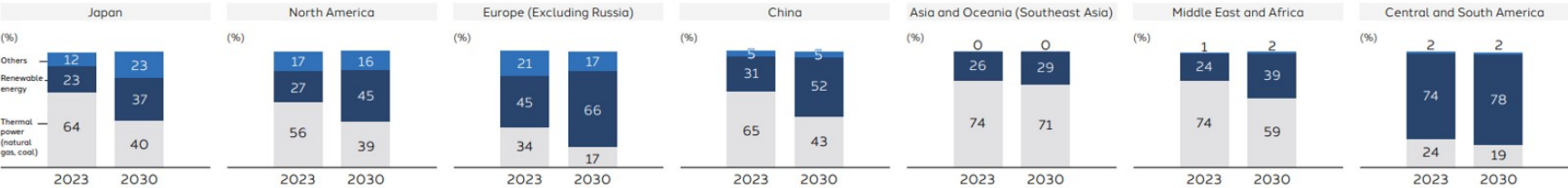
□ Inflation Reduction Act (IRA) – EV Tax Credit

- The tax credit for purchasing electric vehicles (BEV, PHEV, FCEV), up to \$7,500, expired at the end of September 2025.

Power Generation Mix and Energy Consumption by Powertrain Type

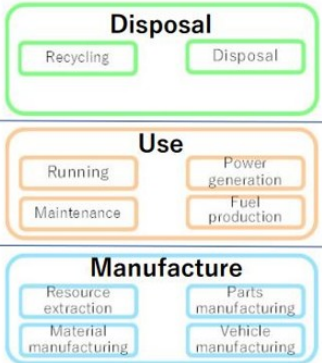
Power generation mix by region worldwide

Energy Situations by Region Source: STEPS scenario, World Energy Outlook 2023, International Energy Agency

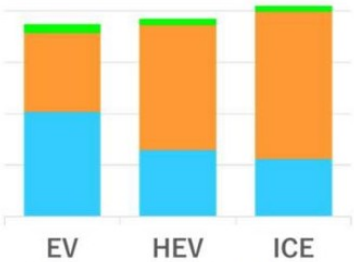


Conceptual diagram of energy consumption in the life cycle (comparison of BEV / HEV / ICE)

Non-fossil fuel electric energy 25%



Non-fossil fuel electric energy 75%

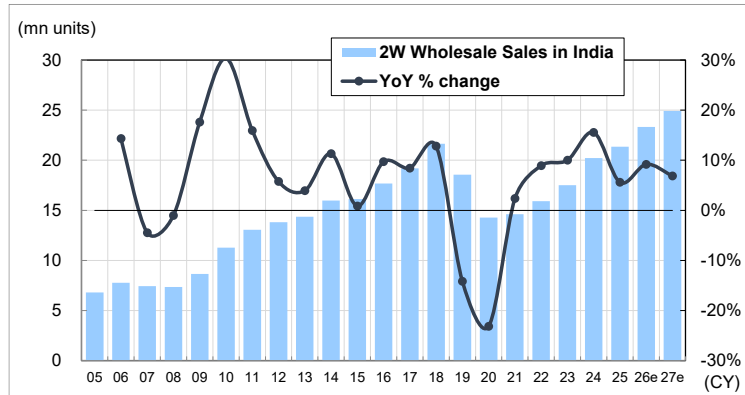


*Conditions under consideration: 110,000 km, other settings are unique to Suzuki

Source: Company data (Suzuki: Technology Strategy Briefing), Morgan Stanley Research

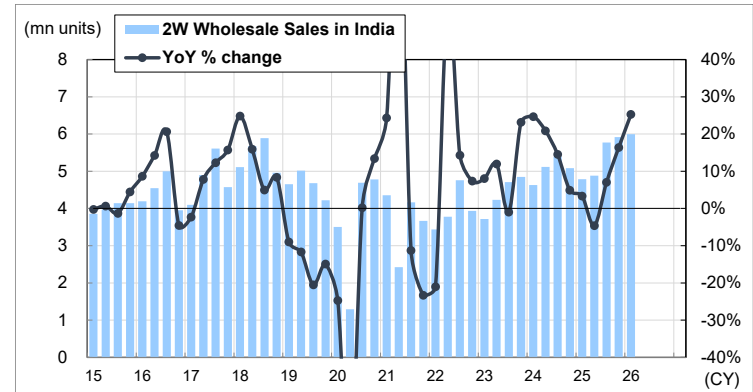
2W Market (1)

India: 2W Wholesale Sales



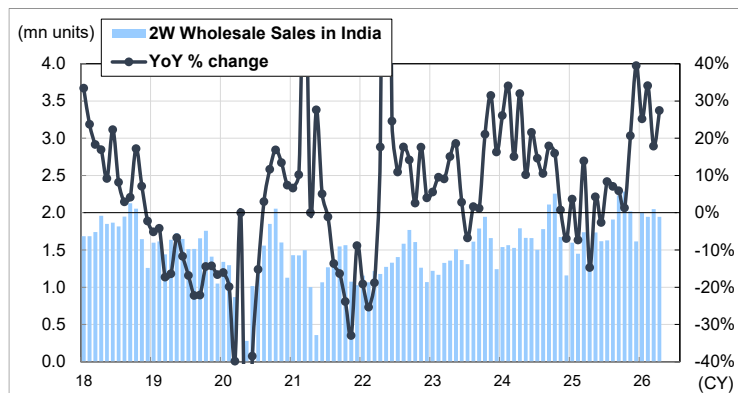
e = Morgan Stanley Research estimates,
Source: SIAM, Morgan Stanley Research

India: Quarterly 2W Wholesale Sales



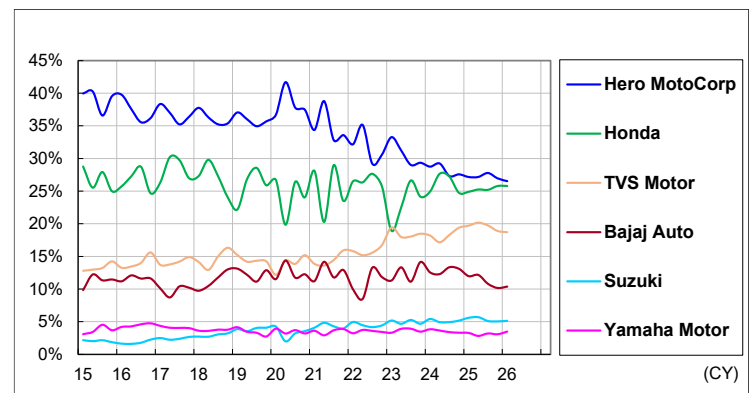
Source: SIAM, Morgan Stanley Research

India: Monthly 2W Wholesale Sales



Source: SIAM, Morgan Stanley Research

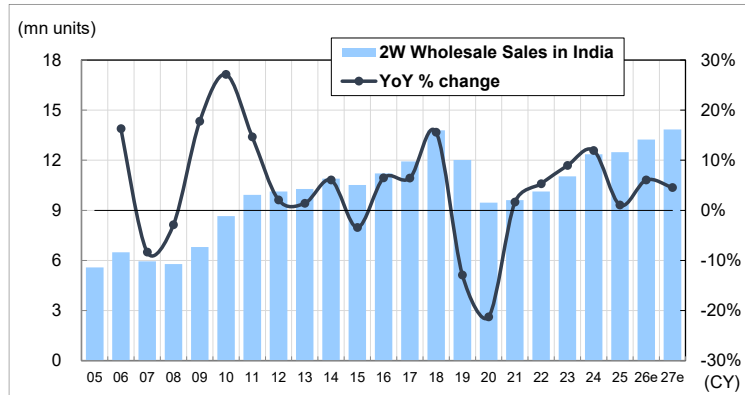
India: 2W Vehicle Market Share



Source: SIAM, Morgan Stanley Research

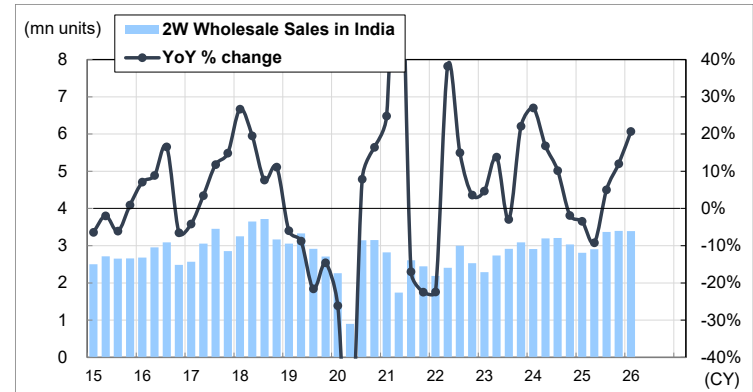
2W Market (2)

India: 2W (Motorcycles) Wholesale Sales



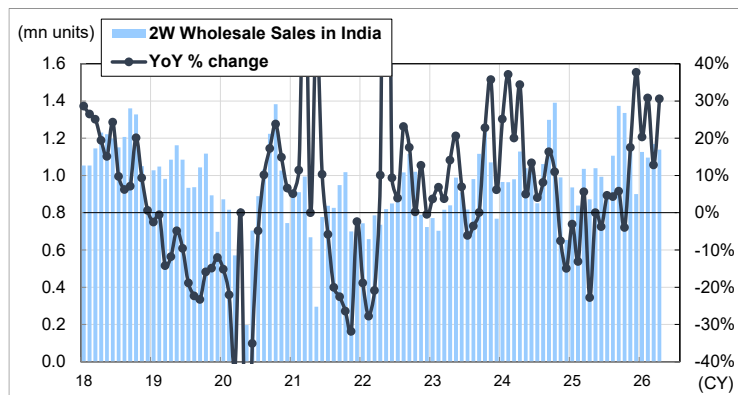
e = Morgan Stanley Research estimates,
Source: SIAM, Morgan Stanley Research

India: Quarterly 2W (Motorcycles) Wholesale Sales



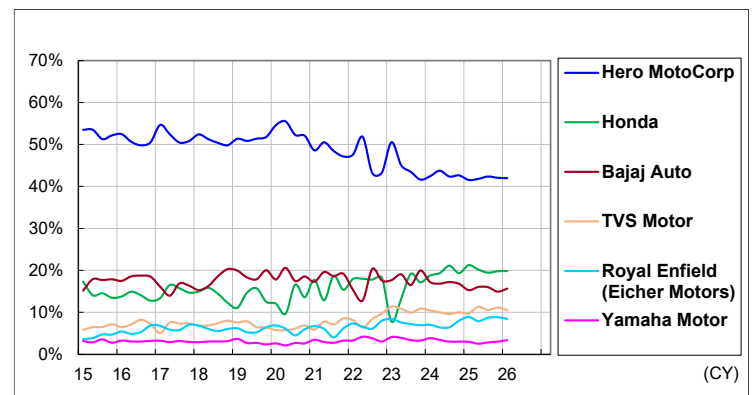
Source: SIAM, Morgan Stanley Research

India: Monthly 2W (Motorcycles) Wholesale Sales



Source: SIAM, Morgan Stanley Research

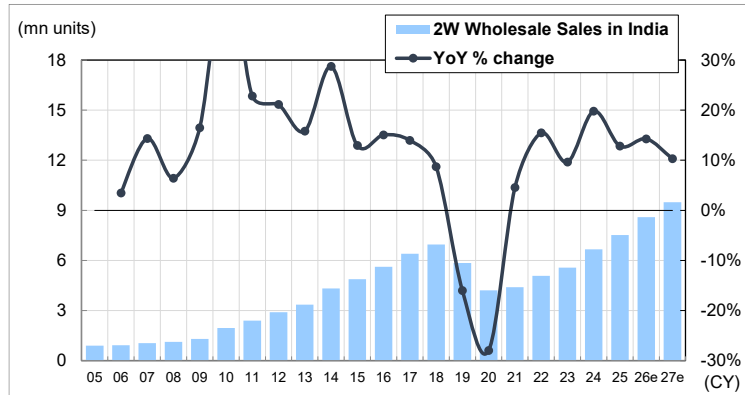
India: 2W (Motorcycles) Vehicle Market Share



Source: SIAM, Morgan Stanley Research

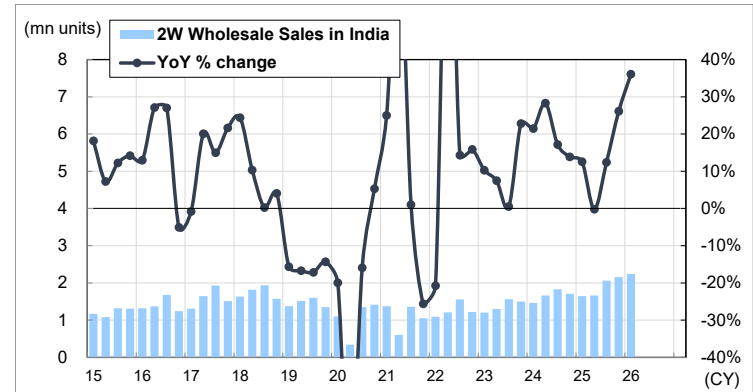
2W Market (3)

India: 2W (Scooter) Wholesale Sales



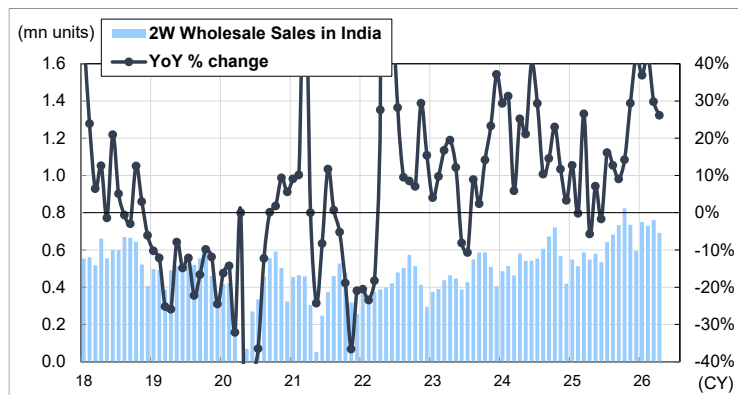
e = Morgan Stanley Research estimates,
Source: SIAM, Morgan Stanley Research

India: Quarterly 2W (Scooter) Wholesale Sales



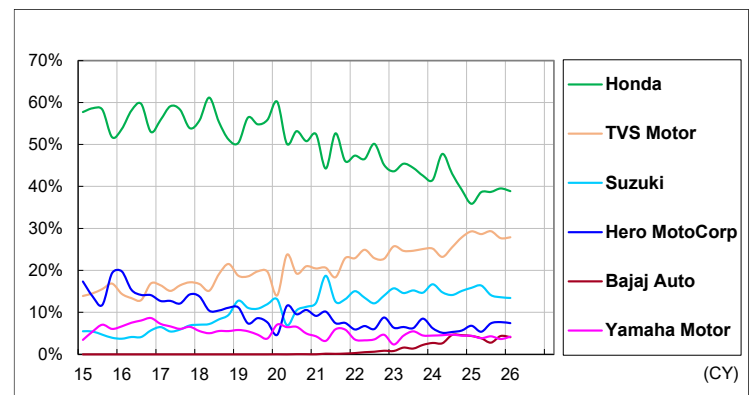
Source: SIAM, Morgan Stanley Research

India: Monthly 2W (Scooter) Wholesale Sales



Source: SIAM, Morgan Stanley Research

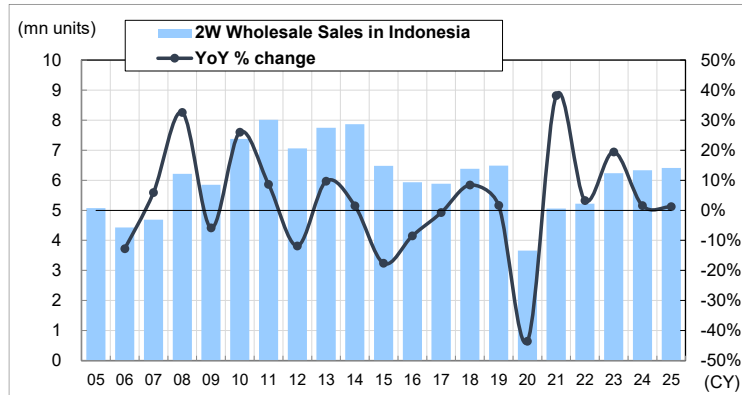
India: 2W Vehicle (Scooter) Market Share



Source: SIAM, Morgan Stanley Research

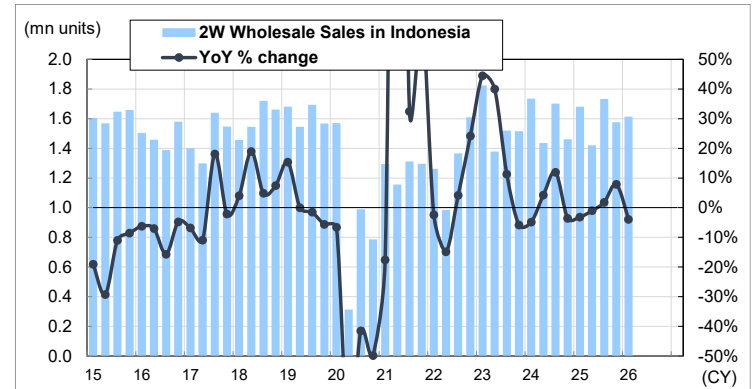
2W Market (4)

Indonesia: 2W Wholesale Sales



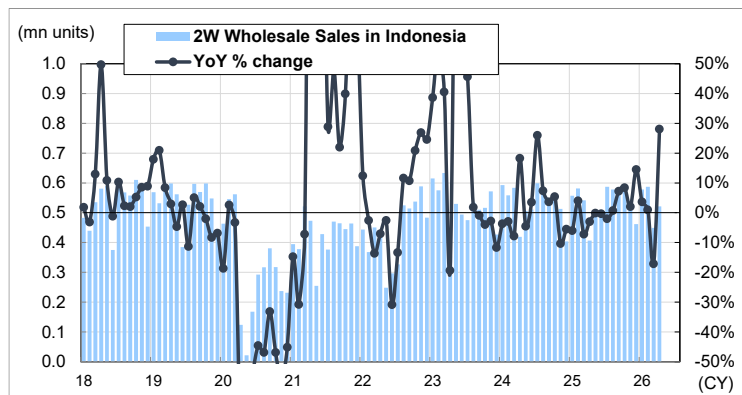
Source: Gaikindo, Morgan Stanley Research

Indonesia: Quarterly 2W Wholesale Sales



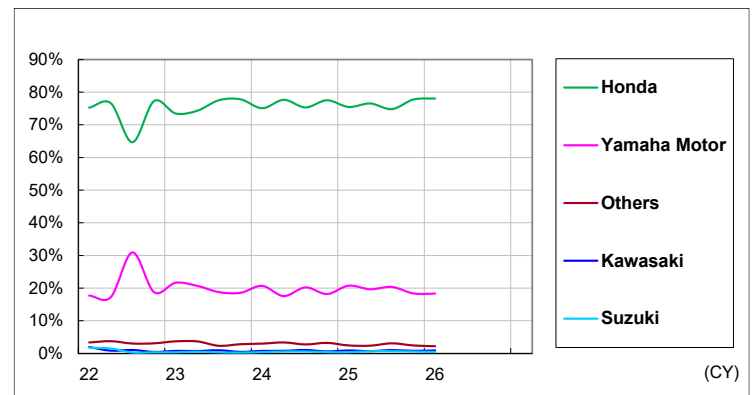
Source: Gaikindo, Morgan Stanley Research

Indonesia: Monthly 2W Wholesale Sales



Source: Gaikindo, Morgan Stanley Research

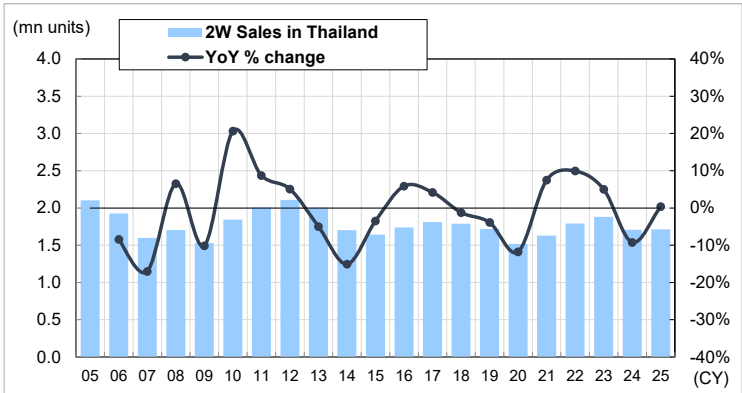
Indonesia: 2W Vehicle Market Share



Source: MarkLines, Morgan Stanley Research

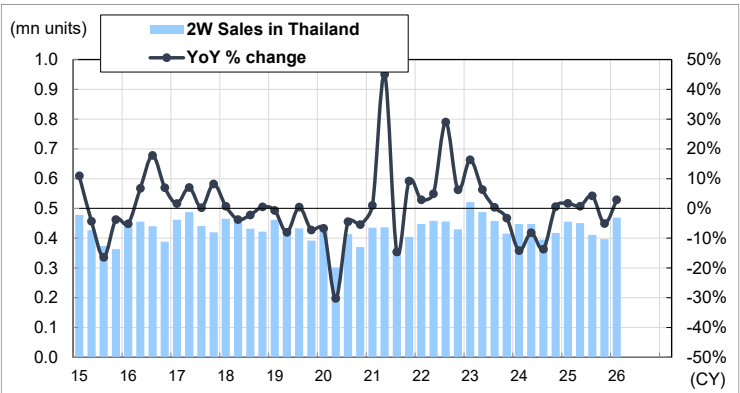
2W Market (5)

Thailand: 2W Sales



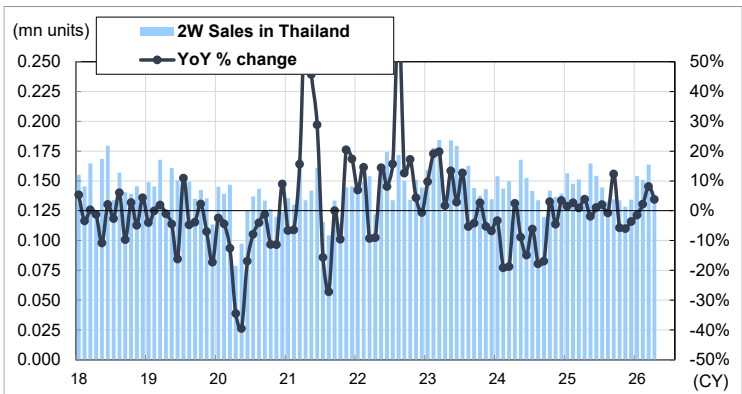
Source: Federation of Thai Industries, Morgan Stanley Research

Thailand: Quarterly 2W Sales



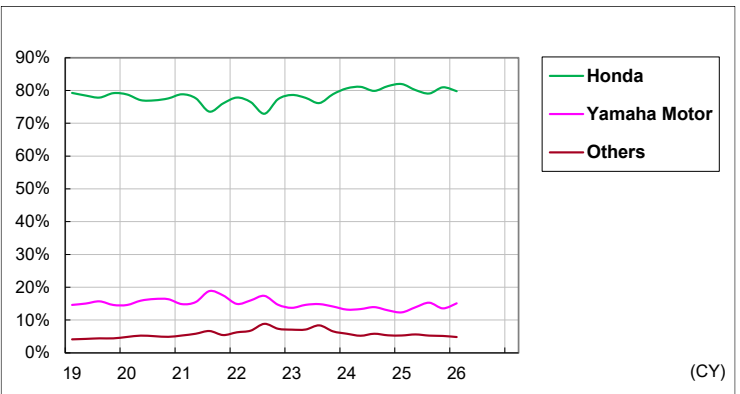
Source: Federation of Thai Industries, Morgan Stanley Research

Thailand: Monthly 2W Sales



Source: Federation of Thai Industries, Morgan Stanley Research

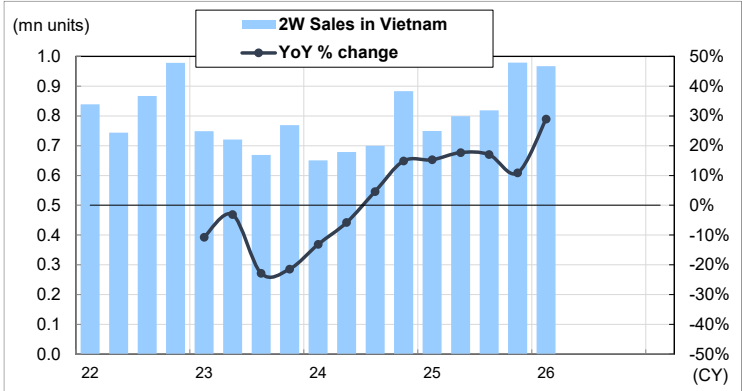
Thailand: 2W Vehicle Market Share



Source: MarkLines, Morgan Stanley Research

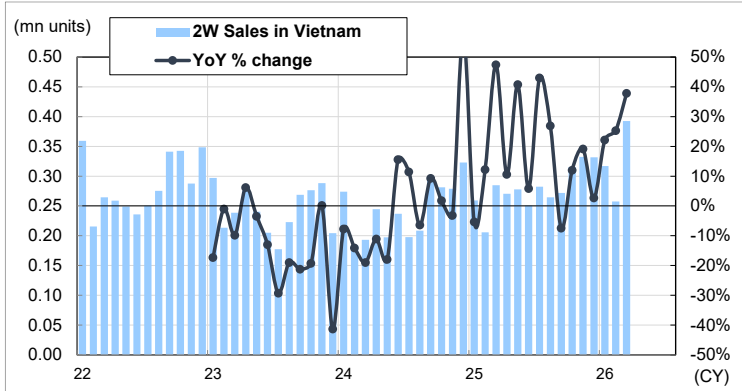
2W Market (6)

Vietnam: Quarterly 2W Sales



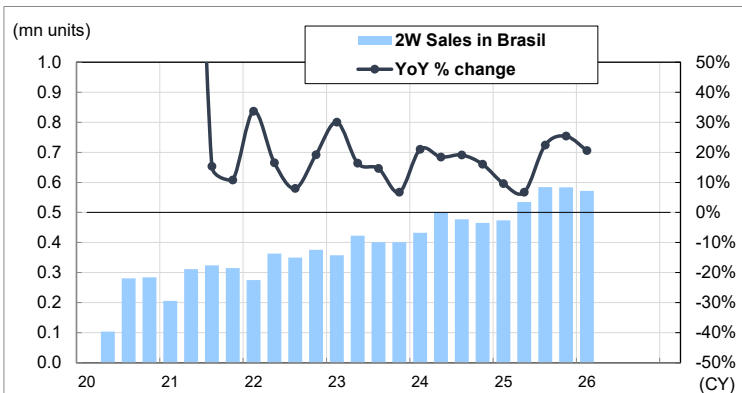
Source: MarkLines, Morgan Stanley Research

Vietnam: Monthly 2W Sales



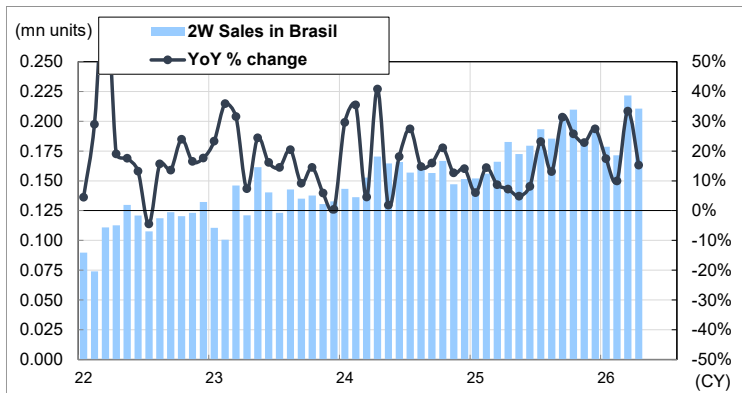
Source: MarkLines, Morgan Stanley Research

Brazil: Quarterly 2W Sales



Source: Abraciclo, Morgan Stanley Research

Brazil: Monthly 2W Sales



Source: Abraciclo, Morgan Stanley Research

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(as of May 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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INDUSTRY COVERAGE: Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/05/2026)
Hiroto Segawa		
Honda Motor (7267.T)	E (03/12/2026)	¥1,445
Isuzu Motors (7202.T)	U (06/02/2026)	¥2,177
Mazda Motor (7261.T)	E (04/25/2023)	¥1,128
Mitsubishi Motors (7211.T)	E (09/26/2024)	¥338
Nissan Motor (7201.T)	E (01/23/2023)	¥348
SUBARU (7270.T)	E (06/02/2026)	¥2,455
Suzuki Motor (7269.T)	O (12/09/2024)	¥1,866
Toyota Motor (7203.T)	E (05/01/2026)	¥2,850
Yamaha Motor (7272.T)	E (04/17/2025)	¥1,224

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* Historical prices are not split adjusted.

